

Research Paper

Submitted by

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For the submission of Global Sourcing

Submitted To



Department of Fashion Management Studies (FMS)

National Institute of Fashion Technology

Plot no. 15, Sector 4, Kharghar,

Navi Mumbai, Maharashtra- 410210

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Under the Supervision of

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DECLARATION

We hereby declare that the mid term assignment for the subject **Global Sourcing** submitted to National Institute of Fashion Technology, Mumbai is the result of our own work except as cited in the reference, under the guidance and supervision of Mr Sachin Bhatnagar, Assistant Professor, Department of Fashion Management Studies, NIFT Mumbai.

This paper has not been submitted to any other University or Institution for award of any degree/diploma etc. All information included from other sources has been duly acknowledged.

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CERTIFICATE

This is to certify that Astha Singh, Roshani Palkar and Shahazad MM of Master of Fashion Management has successfully completed their assignment work for the subject Global Sourcing for the requirement of the completion of Master of Fashion Management as prescribed by the Department of Fashion Management Studies, National Institute of Fashion Technology.

This paper is the record of authentic work carried out by them under my mentorship.

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INTRODUCTION

Free Trade Agreements (FTAs) are formal arrangements between two or more countries that aim to make the exchange of goods, services, and investments smoother and more affordable. By reducing or eliminating tariffs, quotas, and complicated trade procedures, FTAs help businesses access new markets and allow consumers to enjoy a wider range of products at competitive prices. Over time, these agreements have expanded beyond just trade in goods; they now include services, investment rules, intellectual property protection, labour mobility, and even environmental commitments. Because of this, FTAs have become powerful tools of economic diplomacy, helping nations build long-term partnerships based on openness and cooperation.

The global idea of free trade gained momentum in the 20th century, especially with the formation of GATT in 1947 and later the WTO in 1995, which encouraged countries to move toward more liberal and predictable trade systems. However, as multilateral negotiations under the WTO became increasingly slow and complex, many nations began signing bilateral or regional FTAs to address urgent trade needs more effectively. This shift led to several landmark agreements, such as NAFTA and the EU–Vietnam FTA, which transformed regional economies and integrated developing countries into global value chains.

India has also been an active participant in signing FTAs with major partners like Japan, South Korea, and ASEAN. A significant recent development is the India–EFTA Trade and Economic Partnership Agreement (TEPA) signed in 2024, which has strengthened India's position in global trade and created new opportunities across manufacturing, services, and apparel. This momentum is closely linked to India's long-standing ambition to complete a Free Trade Agreement with the European Union, one of its most important and strategic trading partners.

The EU–India Free Trade Agreement, officially known as the Broad-Based Trade and Investment Agreement (BTIA), was first launched in 2007. The negotiations aimed to create one of the world's most comprehensive trade partnerships, considering the size, economic potential, and democratic values both sides share. However, due to disagreements over tariffs, market access for services, intellectual property rights, labour and environmental standards, and mobility of skilled professionals, the talks stalled around 2013. For nearly a decade, the

BTIA remained inactive, reflecting both political transitions and shifting global economic priorities.

A major breakthrough came in June 2022, when EU Executive Vice-President Valdis Dombrovskis and India's Commerce Minister Piyush Goyal formally relaunched the negotiations with a renewed commitment to conclude a balanced, ambitious, and mutually beneficial FTA. This restart marked a critical turning point. Both sides recognised that a modern trade agreement could unlock enormous untapped potential especially since the EU is India's third-largest trading partner and India is one of the fastest-growing major economies worldwide. With annual bilateral trade crossing €120 billion, the need for updated trade rules, stronger investment protection, and smoother regulatory alignment has become increasingly urgent.

The revived negotiations also reflect shared priorities in sustainability, climate action, digital trade, and the protection of geographical indications. The EU's emphasis on high labour and environmental standards, alongside India's focus on services mobility and fair market access, demonstrates the complexity and importance of these discussions. If concluded, the EU–India FTA could significantly boost India's exports particularly in textiles, apparel, engineering goods, and pharmaceuticals while helping Indian industries align with modern global standards.

Overall, the journey of the EU–India FTA illustrates not just an economic negotiation but a broader shift in global partnerships, strategic priorities, and sustainable development goals. Understanding why the negotiations paused, why they have taken 14 rounds, and what makes the process so complex is key to assessing the future of this landmark agreement and its potential impact on India's trade, industry, and global economic position.

OBJECTIVES OF THE STUDY

1. To examine the history and timeline of the EU–India Free Trade Agreement (BTIA) negotiations from 2007 to 2024.
2. To identify the major issues, disagreements, and areas of conflict that caused delays and resulted in 14 negotiation rounds.
3. To identify the key unresolved issues in the India–EU FTA and evaluate the prospects of its near-term conclusion.

METHODOLOGY

This study adopts a qualitative secondary data methodology to analyse the progress, challenges, and negotiation dynamics of the EU–India Free Trade Agreement (FTA). A combined descriptive and analytical research approach is used: the descriptive component outlines the timeline of negotiations and key developments, while the analytical component examines why talks stalled, why they extended across 14 rounds, and which issues remain unresolved. All data is sourced from publicly available secondary materials, including official government and institutional documents (such as European Commission updates, Ministry of Commerce press releases, joint statements, WTO reports, and parliamentary papers), policy research papers from ORF, RIS, ICRIER, Brookings, and major EU think tanks, as well as academic journals, reputable news outlets, and trade databases like Eurostat, UN Comtrade, and India’s Export–Import data. The data was analysed through thematic analysis (grouping issues such as tariffs, IPR, sustainability, services, and digital trade), comparative analysis (contrasting India and the EU’s demands, concerns, concessions, and red lines), and chronological analysis to understand the negotiation trajectory from 2007 to 2024. The scope of the study is limited to publicly available information, and primary interviews could not be conducted due to confidentiality. All sources used are credible, ethical, and publicly accessible.

LIMITATIONS OF THE STUDY

This study is based entirely on secondary data, which presents inherent limitations in analysing a complex and confidential negotiation process such as the EU–India Free Trade Agreement (BTIA). Detailed negotiating texts, tariff offers, services schedules, or formal minutes from any of the negotiation rounds are not publicly disclosed by either side, restricting the depth of issue-specific analysis. Early rounds (2007–2013) are particularly opaque, with only brief official statements available, making it difficult to reconstruct the precise dynamics or progress achieved in each round. There are also discrepancies across authoritative sources regarding the total number of negotiation rounds, reflecting differing categorisations of technical sessions and formal rounds, which complicates the chronological mapping of the process.

The study further recognises that both the EU and India frequently communicate negotiations in broad terms due to political sensitivities, especially in contentious sectors such as pharmaceuticals, automobiles, agriculture, data flows, sustainability, and labour mobility. As a result, publicly available information often reflects high-level summaries rather than granular detail. Additionally, think-tank analyses and media reports, though credible, may differ in interpretation and emphasis, requiring cautious triangulation. The evolving structure of negotiations, shifting after 2022 from formal rounds to continuous chief-negotiator–level engagement, also limits the ability to apply a uniform round-by-round analytical framework.

Finally, the study cannot account for informal political bargaining, internal stakeholder pressures, or behind-the-scenes diplomatic coordination, as these are not documented in the public domain. These constraints mean that while the research captures the major themes, disagreements, and structural issues shaping the FTA negotiations, it cannot claim perfect visibility into the confidential decision-making processes of the negotiating parties.

THEORETICAL FRAMEWORK

This study uses several major trade-policy terms, institutional mechanisms, and international agreements. To ensure conceptual clarity, the following theoretical framework defines and explains all key terms and short forms used in the analysis of the EU–India BTIA negotiations.

1. MFN (Most-Favoured Nation Principle)

The Most-Favoured Nation (MFN) rule is a core principle of the World Trade Organization (WTO). It requires that any trade advantage (such as lower tariffs) offered to one member must be offered to all members equally (WTO, n.d.).

In the context of EU–India relations, trade currently operates mostly under MFN rules because there is no bilateral trade agreement in force. This explains why tariff preferences remain limited.

2. GSP (Generalised Scheme of Preferences)

The GSP is a unilateral system where developed countries offer reduced tariffs to developing countries to support their exports (European Commission, n.d.).

India previously benefited from EU GSP, but these preferences were temporarily suspended in 2023 because Indian exports exceeded the EU’s safeguard thresholds.

3. BTIA (Broad-Based Trade and Investment Agreement)

The BTIA is the official name of the proposed EU–India Free Trade Agreement launched in 2007.

“Broad-based” means it covers:

- trade in goods
- trade in services
- investment
- IPR
- public procurement
- competition policy
- SPS/TBT rules
- customs cooperation

- geographical indications
- dispute settlement

It is not only a tariff-cutting agreement but a comprehensive economic partnership.

4. FTA (Free Trade Agreement)

An FTA is a treaty between two economies to reduce or eliminate barriers to trade such as tariffs, quotas, and NTBs (WTO definition). The EU–India BTIA is a type of Free Trade Agreement.

5. WTO (World Trade Organization)

The WTO is the global body that sets rules for international trade. Many chapters of the EU–India negotiations align with WTO agreements, including:

- GATT (for goods)
- GATS (for services)
- SPS Agreement
- TBT Agreement

These rules shape how both sides negotiate market access, standards, and services commitments.

6. GATT (General Agreement on Tariffs and Trade)

GATT is the WTO’s main agreement governing trade in goods, focusing on tariff reduction and non-discrimination. Tariff discussions under BTIA build on GATT principles.

7. GATS (General Agreement on Trade in Services)

GATS governs global rules for trade in services.

It defines four modes of supply:

- Mode 1: Cross-border supply (e.g., IT outsourcing)
- Mode 2: Consumption abroad
- Mode 3: Commercial presence (foreign companies operating in the partner country)
- Mode 4: Temporary movement of natural persons

India's key priority is Mode 4 mobility for professionals.

8. NTBs / NTMs (Non-Tariff Barriers / Measures)

NTBs/NTMs are all trade-restricting rules other than tariffs, such as:

- technical regulations
- licensing
- conformity assessment
- quotas
- customs procedures

For India, NTBs are a major challenge when accessing EU markets due to strict regulatory and documentation requirements.

9. SPS (Sanitary and Phytosanitary Measures)

SPS measures protect human, animal, and plant life from risks (WTO SPS Agreement).

Examples:

- pesticide residue limits
- food safety requirements
- veterinary certificates

India seeks recognition of its laboratories and flexible transition periods to meet EU SPS standards.

10. TBT (Technical Barriers to Trade)

TBT covers technical regulations, product standards, labelling rules, and testing procedures. These are often strict in the EU and create compliance challenges for Indian exporters.

11. RoO (Rules of Origin)

RoO determine whether a product qualifies as “originating” in a partner country and is eligible for FTA tariff benefits.

They typically specify:

- % of value addition

- specific transformation rules
- documentation requirements

India demands simpler RoO due to dependence on imported inputs. EU demands stricter rules to prevent “trade deflection.”

12. IPR (Intellectual Property Rights)

IPR includes rights related to:

- patents
- trademarks
- copyrights
- designs

India protects its generic medicines sector and rejects “TRIPS-plus” obligations. The EU demands stronger enforcement and broader protection.

13. GIs (Geographical Indications)

GIs protect products based on their geographical origin, such as Darjeeling Tea, Basmati Rice. The EU strongly pushes for an expanded GI list under BTIA. India also wants better GI recognition for its traditional products.

14. ISDS (Investor-State Dispute Settlement)

ISDS allows foreign investors to sue host governments for alleged treaty violations.

India dislikes broad ISDS because of past arbitration cases and prefers limited, state-to-state dispute mechanisms. The EU prefers a reformed, court-like system (ICS).

15. ICS (Investment Court System)

The ICS is a modern dispute-resolution model with:

- permanent judges
- transparent proceedings
- an appeal system

The EU promotes ICS to replace traditional ISDS.

16. AEO (Authorised Economic Operator)

AEOs are trusted traders who enjoy faster customs clearance and reduced inspections.

India wants mutual recognition of AEO status with the EU to simplify trade flows.

17. CBAM (Carbon Border Adjustment Mechanism)

CBAM is an EU climate policy that imposes a carbon price on imported goods based on their emissions.

India argues it is protectionist and demands:

- longer transition periods
- technical assistance
- recognition of India's own carbon trading schemes

This is one of the most contentious areas in negotiations.

18. Joint Action Plan (JAP)

The JAP (adopted in 2005) outlined practical cooperation steps in:

- trade
- investment
- science & technology
- education

It laid the groundwork for launching BTIA negotiations.

19. Strategic Partnership (2004)

In 2004, EU and India upgraded their relationship to a Strategic Partnership to deepen cooperation beyond trade, including security, technology, and political dialogue. This expansion increased expectations for a stronger FTA.

20. Joint Study Group (JSG)

The JSG (created in 2006) examined whether launching BTIA was feasible.

Its findings supported starting negotiations due to the rising importance of EU–India trade.

REVIEW OF LITERATURE

The emerging body of literature on Free Trade Agreements (FTAs) between major economies underscores their relevance as instruments of trade liberalisation, global economic integration, and regulatory cooperation. The European Parliament (2025) defines FTAs as comprehensive frameworks that go beyond tariff elimination to incorporate investment rules, intellectual property protections, public procurement access and sustainable development commitments. This expanded scope is seen as essential for creating predictable regulatory environments and reducing business risk for transnational firms engaged in cross-border production networks. Within the India–EU context, studies consistently highlight the strategic value of such agreements for both parties, noting that they form part of a broader shift in global trade governance shaped by supply chain resilience, geopolitical realignment and tightening environmental standards.

Research examining the European Union’s trade strategy points to a diversification imperative: by deepening trade relations with emerging partners such as India, the EU seeks to reduce its dependence on specific markets and secure inputs in critical sectors including green technologies, semiconductors and pharmaceuticals (European Parliament, 2024). These findings are mirrored in analyses that emphasise the EU’s use of trade agreements as vehicles to promote regulatory influence and sustainability norms globally, particularly through the integration of labour, environment and climate chapters that reflect its wider policy goals. From India’s perspective, literature aligns on the view that deeper economic engagement with the EU offers significant advantages in terms of market access, technology transfer and foreign investment, particularly in high-value sectors such as textiles, pharmaceuticals, and information technology. Researchers also observe that FTAs with technologically advanced partners can accelerate capability-building in Indian industry, provided there are complementary reforms in logistics, regulatory standards and human capital development.

A growing research stream situates the India–EU FTA within the complex multilateral and regulatory architecture governing global trade. Europarl (2022) notes that negotiations must navigate World Trade Organization (WTO) rules, EU trade law, and emerging regulatory instruments such as the Carbon Border Adjustment Mechanism (CBAM), which has become a central point of debate in the literature. Analysts argue that CBAM introduces a new layer of conditionality linking market access to environmental performance, effectively blurring

the lines between trade policy and climate governance. These regulatory developments impose significant compliance burdens on developing-country exporters, particularly in emissions-intensive sectors such as steel, aluminium and cement. Studies from the Global Trade Research Initiative (GTRI, 2025) highlight that India may face carbon-related levies unless transitional arrangements or compensatory mechanisms are built into the FTA framework.

The historical evolution of India–EU trade relations is also well documented, with multiple sources tracing the partnership from the 1962 India–EEC diplomatic engagement through the 1994 Cooperation Agreement and the pivotal 2004 Strategic Partnership (European Parliament, 2025). Literature concurs that formal negotiations for the Broad-based Trade and Investment Agreement (BTIA) launched in 2007 marked an ambitious attempt to integrate goods, services, IP and investment rules into a comprehensive framework. However, studies examining the 2013 negotiation breakdown attribute the impasse to a combination of structural asymmetries, divergent regulatory philosophies and sector-specific sensitivities. These include India’s high import duties on automobiles, the EU’s insistence on TRIPS-plus intellectual property standards and tensions around agricultural market access—all of which remain salient in contemporary analyses. The relaunch of negotiations in 2021 is thus seen by many scholars as both a renewal of political will and a response to shifting geopolitical incentives.

Recent policy reports indicate that, as of late 2025, several negotiation chapters have been provisionally closed, including important areas such as Intellectual Property and Customs & Trade Facilitation (India–EU Trade Council, 2025). Nonetheless, the literature highlights persistent disagreements, particularly in automobiles, steel, public procurement and carbon border regulation. Trade data from Europarl (2025) shows that the EU accounted for 12.2% of India’s trade in 2023, and that more than 6,000 European companies already operate in India, suggesting a deeply interdependent economic relationship that strengthens the rationale for formalising a structured FTA.

Tariff-related disputes represent a major theme in scholarly assessments of India–EU trade negotiations. Studies highlight that the EU seeks substantial reductions in India’s duties on automobiles, wine, spirits and high-value dairy products, while India prioritises expanded access for its textiles, pharmaceuticals and services exports (India–EU Trade Council, 2025). Literature on services trade underscores that India’s competitive advantage lies in skilled

labour mobility, particularly in IT and professional services, but European regulatory constraints—including salary thresholds, social security rules and non-recognition of qualifications—continue to restrict market access. Several authors argue that unless issues of mobility (Mode 4) and mutual recognition are addressed, India may face structural barriers to realising meaningful gains from the FTA.

Digital trade and data governance constitute another prominent area of academic attention. Business Standard (2025) reports that India is not currently recognised as a “data-secure country” under the EU’s GDPR, limiting cross-border data flows and constraining Indian IT firms operating in Europe. Literature on comparative data protection regimes emphasises that India’s Digital Personal Data Protection Act (2023), while a major regulatory advancement, does not fully align with GDPR principles, thereby creating a significant negotiation bottleneck. Studies argue that securing data adequacy status is likely to require substantial changes to India’s data oversight institutions and cross-border transfer rules.

Intellectual property rights (IPR) form a contested domain in the literature, with many analyses acknowledging that the EU’s push for extended patent terms, data exclusivity provisions and enhanced enforcement could adversely affect India’s generics industry widely recognised as a global supplier of affordable medicines (India–EU Trade Council, 2025). Authors caution that TRIPS-plus obligations may undermine India’s public health framework, which historically relies on balancing innovation incentives with accessibility. Closely connected to this debate is the literature on investment protection, where the EU advocates an Investment Court System (ICS), while India prefers its post-2016 Bilateral Investment Treaty (BIT) model emphasising regulatory autonomy. Comparative studies show that India’s shift to the BIT model reflects lessons from earlier investor–state disputes, and highlight the need for careful calibration to ensure policy space for developmental regulation.

Sustainability, environmental norms and CBAM receive extensive attention in contemporary literature. The Economic Times (2025) and GTRI analyses show that Indian steel and aluminium exports may face substantial carbon-related charges under CBAM unless exemptions or transitional provisions are negotiated. Researchers emphasise that CBAM has the potential to offset tariff reductions secured through the FTA, making environmental chapters a decisive factor in determining net gains for India. Additionally, EU deforestation regulations have been scrutinised for their possible impact on agricultural exports, particularly where land-use documentation is incomplete.

Geographical Indications (GIs) represent another recurring theme, with European sources emphasising automatic recognition of EU GIs such as Champagne and Parmesan, while Indian literature cautions against conceding without reciprocal gains for iconic Indian GIs, including Darjeeling tea and Basmati rice.

Across the literature, a broad consensus emerges that unresolved issues such as mobility constraints, sustainability-related conditionalities, IPR asymmetries and regulatory divergence pose challenges to concluding the FTA by end-2025. At the same time, most studies underline strong political momentum driven by mutual strategic incentives, including supply chain diversification, reduced dependence on China, and the expansion of green technology value chains. Analysts increasingly highlight that a completed India–EU FTA could reshape global supply chains, position India as a viable alternative manufacturing hub, accelerate EU investment in Indian renewables and pharmaceuticals, and strengthen bilateral geopolitical alignment in an era of multipolar competition.

Despite these insights, the literature reveals multiple research gaps. Scholars call for high-resolution sectoral modelling to assess the effects of CBAM on India’s carbon-intensive industries, deeper empirical studies on labour mobility outcomes, comparative evaluations of investment dispute settlement models, and structured analyses of how India’s data protection regime may evolve toward future adequacy with the EU. There is also limited research on how branding, sustainability compliance costs and near-shoring trends among European retailers alter long-term opportunities for India’s exporters.

Overall, the literature portrays the India–EU FTA as a complex negotiation shaped by evolving global trade architecture, regulatory convergence challenges and strategic realignments. While the agreement promises significant economic and geopolitical benefits, scholars caution that its success depends on resolving long-standing divergences through calibrated compromises, phased implementation and robust institutional coordination.

KEY AREAS FOR INDIA EU COLLABORATION

1. Finalising the Free Trade Agreement (FTA) and the Investment Protection Agreement (IPA)

The revival of negotiations for a comprehensive Free Trade Agreement (FTA) between India and the European Union in 2021 marks a critical turning point in bilateral economic relations. The European Commission's trade portal notes that new talks resumed in May 2021 not only on trade in goods and services, but also on a separate Investment Protection Agreement (IPA) and an agreement on Geographical Indications.

According to official EU-India sources, the goal is to create a “sound, transparent, open, non-discriminatory and predictable regulatory and business environment” for European companies operating in India (European Commission, n.d.). Analysts project that a final FTA could substantially boost bilateral trade, projecting a doubling of trade in goods and services over five years if the agreement is sufficiently ambitious. However, despite the optimism, deep challenges remain: Business Standard reports that negotiators are grappling with steep import duties on European luxury cars and other industrial goods, while India resists demands to liberalise in politically sensitive sectors.

One of the more persistent conceptual challenges identified is regulatory alignment and market access. A report from the Observer Research Foundation (ORF) underscores that India is unwilling to open its markets fully without safeguarding its domestic industries, particularly agriculture and automobiles, citing concerns around EU demands for tariff cuts on dairy, wine, and spirits (ORF, 2025).

From a political economy perspective, the financing of European investment in India is also a critical lever. According to the *EUR-Lex* document, EU Foreign Direct Investment (FDI) in India has grown significantly, reaching €108.3 billion in 2023, up from €82.3 billion in 2019, highlighting the high stakes of concluding a robust IPA.

Negotiations are reportedly in their final, most difficult phase. Indian Commerce Secretary Rajesh Agrawal has commented that discussions on rules of origin (ROO), which determine which products qualify for preferential treatment under the FTA, are particularly challenging. At the same time, Commerce Minister Piyush Goyal recently stated that “over 60%” of the more than 20 chapters have been concluded, signaling considerable progress.

In sum, the literature reveals a nuanced picture: while both India and the EU clearly recognize the transformative potential of an FTA + IPA, achieving a “balanced, ambitious, comprehensive and mutually beneficial” agreement will require delicate compromises on market access, investment protection, and regulatory harmonization.

2. Strengthening Supply Chain Resilience (Electronics & Semiconductors)

As global supply chains become more volatile under geopolitical tensions and post-pandemic shifts, the resilience of strategic sectors like semiconductors has taken center stage in India–EU trade discourse. The second ministerial meeting of the EU-India Trade and Technology Council (TTC) in February 2025 signaled a concrete shift: both sides agreed to accelerate cooperation on semiconductors, artificial intelligence (AI), high-performance computing (HPC), and 6G.

This institutional commitment is backed by technology-level collaboration. In November 2022, the Indian Ministry of Electronics & IT and the European Commission signed an “Intent of Cooperation” on High-Performance Computing and Quantum Technologies. This agreement aims at joint development of HPC applications in critical domains like climate modelling, bioinformatics, and disaster prediction; domains that are essential for both innovation and supply chain risk mitigation.

Think-tank and policy analyses view this technological cooperation as part of a broader industrial strategy. For instance, India-EU trade-tech initiatives are increasingly being aligned to reduce dependence on third-party hubs (especially in East Asia) for critical components. The TTC’s “Working Group 1” explicitly links digital governance, strategic technologies, and connectivity to the goal of resilient value chains (European Commission, 2025).

Moreover, scholars argue that an FTA incorporating supply chain provisions (preferential duty rates, investment protections, and technology R&D clauses) can catalyse private sector investments. By reducing tariff burdens on semiconductor imports and enabling secure transit of intermediate goods, the FTA could encourage EU firms to set up or deepen operations in India, thereby diversifying manufacturing footprints.

In addition, linking trade with technology cooperation helps in securing dual-use and sensitive tech: Singapore-based analyses and European policy proposals suggest that trade agreements with strategic partners should integrate standard-setting for critical tech

(semiconductors, 6G) to ensure secure and trusted ecosystems. The India–EU TTC’s joint statement explicitly mentions aligning research priorities and supply chain rules in these areas.

Hence, the literature converges on a strategic insight: deepening supply-chain resilience in semiconductors via trade, investment, and technology convergence is not just economically prudent for both India and the EU, but geopolitically necessary, especially under great-power technological competition.

3. Advancing the India–Middle East–Europe Economic Corridor (IMEC)

The India–Middle East–Europe Economic Corridor (IMEC) has quickly emerged in policy and strategic analysis as a cornerstone of India–EU economic connectivity. The *Research and Information System for Developing Countries* (RIS) published a detailed report in 2025, titled *India-Middle East-Europe Economic Corridor: Strategic Choices and Way Forward*, which lays out the corridor’s economic, geopolitical, and logistical rationale.

According to RIS, IMEC is envisioned to dramatically reduce transit times and logistics costs: the corridor could cut transit times by up to 40% and lower logistics costs by around 30%, compared to existing sea routes. This is not merely a transportation project, the corridor integrates rail, maritime, energy (hydrogen), electricity, and digital connectivity, making it a multi-dimensional infrastructure and economic integration initiative.

From a trade and investment perspective, IMEC is expected to unlock large trade flows. RIS projects that, over its first decade, the corridor could facilitate trade worth USD 200 billion annually, especially in manufacturing, e-commerce, and clean energy sectors. The corridor is also being pitched as a way to deepen India–EU economic security by reducing dependency on other more congested or geopolitically risky routes.

Strategic analysts argue that the success of IMEC depends heavily on regulatory cooperation, the kind of cooperation that an FTA can institutionalize. Harmonised customs protocols, rules of origin, and cross-border data flow frameworks are essential to make IMEC economically viable and politically sustainable. This is where the India–EU FTA becomes more than a trade instrument: it becomes a regulatory scaffold for connectivity.

Geopolitically, IMEC is also seen as part of Europe’s economic security strategy: European leaders, including Ursula von der Leyen, have described IMEC as a “modern golden road” linking India, the Gulf, and Europe, with dedicated infrastructure for clean energy, digital connectivity, and high-speed rail.

In sum, IMEC is not only a trade route, it is a strategic corridor that aligns with the objectives of the India–EU FTA by embedding trade, investment, sustainability, and technology in a single integrated economic architecture.

4. Collaboration on Emerging Technologies (AI, Quantum, 6G)

The EU–India Trade and Technology Council (TTC) is central to future technology collaboration, as affirmed in their second ministerial meeting on February 28, 2025. Working Group 1 of the TTC formally committed to deepening cooperation in AI, semiconductors, High-Performance Computing (HPC), and 6G, emphasizing a human-centric approach that respects fundamental rights and fosters innovation.

This commitment is not merely rhetorical: the joint statement explicitly calls for interoperability of digital public infrastructures (DPIs) in both regions. India and the EU aim to align their DPIs in a way that safeguards data privacy, IP rights, and cyber resilience. These are not trivial goals, they are foundational to enabling cross-border digital trade, secure data flows, and scalable AI deployments.

Quantum and HPC technologies also feature prominently in official cooperation. In November 2022, India and the EU inked an “Intent of Cooperation” on HPC, climate modelling, and quantum technologies. This agreement recognizes that both parties can benefit from shared supercomputing capabilities for climate modeling, bioinformatics, and other critical applications, which in turn supports broader economic and sustainability goals.

Researchers in the field also note that embedding such technology collaboration within a trade framework helps mitigate risks associated with dual-use technologies. For instance, alignment on standards and joint R&D across quantum computing and telecommunications can reduce fragmentation and enhance trust especially when trade protections are in place. The second TTC ministerial statement reaffirms this by referring to “resilient supply chains” and secure telecoms.

Importantly, this cooperation is explicitly linked to economic security. The TTC's joint statement frames strategic tech not just as an innovation agenda, but as a core component of economic and geopolitical resilience. Moreover, a Joint S&T Committee between India and the EU has set its strategic agenda for 2025–27, explicitly highlighting green energy, battery recycling, hydrogen, and emerging ICT (including 6G) as priority areas.

In academic discussions, analysts argue that such trade-technology synergies are critical: they enable not only knowledge exchange and innovation, but also contribute to industrial sovereignty by reducing over-reliance on non-aligned markets for strategic technologies.

5. Expanding Green Energy and Climate Action (Including CBAM)

Green energy and climate action have become deeply intertwined with trade policy in the India–EU context, especially because of the Carbon Border Adjustment Mechanism (CBAM), a major EU policy aimed at pricing carbon emissions on imports. India has voiced strong objections to CBAM, viewing it as a trade barrier rather than purely an environmental instrument.

A think-tank study by the Council on Energy, Environment and Water (CEEW) examines how India can respond constructively to CBAM. The report argues that while CBAM presents risks to competitiveness (particularly for energy-intensive exports like cement, steel, and aluminium), it also offers a “gateway for reform”: enhancing domestic carbon pricing, strengthening MRV (Monitoring, Reporting, Verification) systems, and aligning industrial policy with global decarbonisation trends.

The literature also highlights the normative and diplomatic challenges. India's repeated criticism of CBAM during global climate negotiations underscores its broader concern: that unilateral carbon pricing mechanisms may undermine the principle of common but differentiated responsibilities. This tension feeds directly into FTA negotiations, as India seeks safeguards, transitional frameworks, and technical cooperation to address carbon accounting and verification.

In EU–India institutional cooperation, green energy is already a major component of trade-technology engagement. The EU–India S&T Committee's 2025–27 strategic agenda explicitly includes hydrogen technologies, battery recycling, waste-to-renewable hydrogen, and e-mobility as key collaborative areas. Additionally, the second TTC meeting reaffirmed

commitments to research funding for sustainable technologies, including a joint workshop on EV-charging standardisation and circular battery supply chains (investment of ~€60 million).

Scholars note that embedding climate cooperation in the context of a trade deal helps avert the risk of CBAM being framed purely as protectionism. A well-structured FTA can provide a platform for joint technical assistance, carbon accounting frameworks, and transitional support, thereby enabling India to decouple growth from carbon intensity without sacrificing export competitiveness.

6. Enhancing Defence Ties through Co-development of Technology

Defence cooperation between India and the EU, though traditionally limited, is now increasingly recognized in strategic and trade literature as synergistic with economic goals. Think tanks and policy analyses frame enhanced defence ties, particularly in dual-use technologies, as building blocks of trust, industrial capacities, and strategic supply-chain resilience.

While defence is seldom a formal chapter in FTAs, the Trade & Technology Council (TTC) provides a relevant institutional mechanism. According to the India-EU Trade Council, one of the key pillars of cooperation involves high-tech research, co-development of advanced systems, and secure supply chains in areas that have both civilian and military applications.

Defence-technological cooperation also has economic logic: joint projects in aerospace, radar, naval systems, and precision technologies can lead to offsets, indigenous manufacturing, and cross-investment. By embedding co-development in a broader trade framework, both India and the EU can potentially reap gains from economies of scale, shared R&D costs, and integrated value chains.

Moreover, the strategic literature highlights that deeper defence cooperation under a trade umbrella enhances geopolitical alignment. With rising Indo-Pacific tensions, shared production of sensitive technology (e.g., secure communications, 6G, quantum-secure systems) is increasingly viewed as part of a broader security-economy nexus. Though not publicly detailed in every FTA document, analysts argue that the convergent interest in secure tech, defence R&D, and industrial sovereignty makes defence an implicit cornerstone of a future India–EU economic partnership.

7. Addressing Security Threats (Cyberattacks, Terrorism)

Economic integration in the digital age cannot be divorced from cybersecurity and counterterrorism, especially when advanced technologies are traded. The Trade & Technology Council (TTC) reflects this: in its second ministerial meeting, members reaffirmed the need for a “cyber-secure digital ecosystem” and emphasised cooperation on trusted data flows, incident response, and critical infrastructure protection.

Both sides have linked digital governance to trade and security. The TTC’s Working Group 1 (Strategic Technologies, Digital Governance, Connectivity) is tasked with aligning standards for AI, semiconductors, and 6G, not only from a technological innovation standpoint but also with an eye on economic resilience and digital sovereignty (Joint Statement, Feb 28, 2025).

There is also a recognition in policy circles that cross-border data flows and services trade need to be underpinned by robust trust frameworks. Cooperation on DPIs (Digital Public Infrastructure) which the TTC explicitly committed to, aims to ensure interoperability without compromising privacy, data protection, and intellectual property (IP) rights.

In academic and strategic studies, analysts argue that trade agreements increasingly serve as conduits for digital security collaboration. By embedding cybersecurity norms, legal cooperation, and data governance in a trade-technology pact, the FTA can become more than a commercial instrument; it becomes a structure for digital risk management. The literature suggests that this alignment mitigates the risk of malicious technology transfers, strengthens resilience against cyberattacks, and enhances trust in cross-border digital commerce.

8. Easing Migration, Mobility, and Visas

Mobility and migration have long been identified as complementary to trade, especially in services sectors. In the context of the India–EU FTA, this point is underscored in policy analyses and joint political statements. According to the EU’s trade policy portal, one of the aims of the negotiation is to “open up services and public procurement markets,” which implicitly touches upon mobility and professional services.

During the second TTC meeting, both India and the EU reiterated the importance of facilitating people-to-people exchanges and researcher mobility. The joint ministerial

statement emphasizes supporting innovation by enabling movement of talent, not just for labor, but for R&D, start-ups, and joint technology projects.

In strategic studies, scholars argue that smooth mobility regimes are crucial for long-term economic integration. Professional mobility (engineers, scientists, IT professionals) supports services trade, enables cross-border project execution, and fosters innovation ecosystems. In the India–EU context, improved visa regimes and mutual recognition of qualifications could significantly boost bilateral service exports, especially in tech, engineering, and knowledge-intensive sectors.

Furthermore, the institutional architecture (TTC, S&T cooperation committees) provides platforms to negotiate mobility as part of a broader economic-security architecture. By embedding visa and mobility facilitation within the trade-technology discourse, both India and the EU can institutionalize a virtually integrated talent ecosystem, which is increasingly critical in the era of digital globalization.

SYNTHESIS & IMPLICATIONS FOR THE FTA

The literature reviewed above demonstrates that key areas of India–EU cooperation extend well beyond traditional trade liberalization. The proposed FTA is not simply a tariff-cutting instrument; it is deeply intertwined with economic security, technological sovereignty, and sustainable development.

1. **Strategic Trade Architecture:** The FTA, coupled with the IPA and GI agreement, is being negotiated in parallel with the TTC, signaling that economic engagement is being built on a technology-first foundation.
2. **Resilient Value Chains:** Both sides see semiconductor and electronics resilience as central, and are leveraging trade to secure supply chains and co-invest in high-technology capacity.
3. **Connectivity as a Game-Changer:** IMEC’s multi-modal corridor amplifies the FTA’s potential by reducing log-costs, reducing transit time, and embedding green and digital infrastructure.

4. **Technology & Innovation Integration:** AI, HPC, quantum, and 6G are not just R&D topics, they are being institutionalized in the FTA ecosystem through the TTC, and linked with security, governance, and standards.
5. **Green Trade Diplomacy:** CBAM remains a major sticking point, but the literature frames it also as an opportunity for India to deepen climate governance, institutionalize carbon accounting, and gain technical cooperation.
6. **Defence-Industrial Cooperation:** Though not explicitly part of trade chapters, defence-technology collaboration strengthens trust and capacity, supporting a broader economic-security union.
7. **Digital and Cybersecurity Risks:** Embedding cybersecurity norms and data trust in a trade agreement is increasingly seen as critical for future-proofing digital commerce.
8. **Talent Mobilization:** Mobility and visa liberalization for skilled professionals are fundamental to supporting trade in services and technology, making them an intrinsic part of the FTA architecture.

In summary, the literature strongly suggests that the India–EU FTA is being conceptualized as a 21st-century trade framework, one that integrates economic, technological, strategic, and environmental objectives.

FTA's success depends not just on tariff reductions, but on deeper institutional cooperation in technology, connectivity, and sustainability.

CORE TRADE-POLICY BUILDING BLOCKS: IN-DEPTH ANALYSIS

1) Tariffs

Tariffs are customs duties levied on imported goods, serving both as revenue tools and protectionist instruments. As the most transparent form of trade barrier, tariffs remain a central focus in FTA negotiations, even as non-tariff barriers grow in significance (NSEZ, n.d.).

From India's standpoint, tariffs are not only a source of revenue but also serve to shield strategic and politically sensitive sectors. In the India–EU BTIA context, New Delhi is cautious about providing deep tariff concessions in areas like automobiles, certain agricultural products, and intermediate inputs because such cuts could consume domestic producer surplus, risk job losses, and undermine developmental objectives (Ministry of Commerce & Industry, Government of India, n.d.). India also leverages tariff bargaining to secure better market access for its export strengths: pharmaceuticals, textiles, leather, and labor-intensive manufactured goods (Roedl & Partner, 2025).

The EU's trade policy traditionally emphasizes industrial exports, high-tech goods, and branded products thus, securing favorable access through reduced tariffs is vital for its competitiveness (European Parliament, 2024). For example, sectors like automobiles, machinery, wine, dairy, and spirits are of high commercial importance to the EU. However, the EU is also constrained by its own common external tariff and political sensitivities around agriculture and consumer protection. When negotiating FTAs, the EU often packages tariff concessions with demands on regulatory alignment, procurement, and investment protection (EPRS, 2024; European Commission, n.d.).

Tariff liberalisation in the BTIA is deeply political. India's demand for gradual phase-out (or carve-outs) collides with the EU's desire for deep and rapid access in high-value sectors. Negotiators must craft mechanisms such as sensitive (or exclusion) lists, safeguard triggers, and compensation packages. The interplay of tariff cuts with other chapters (services, IP, investment) is a recurring lever for negotiating trade-offs, for instance, India may trade tariff concessions in one sector for stronger services commitments or investment protection (RIS, 2025).

Tariff literature focuses particularly on automobiles, alcoholic beverages, textiles, and agricultural products. EU documents identify India as one of the highest tariff jurisdictions for automobiles, with duties exceeding 60–100% (European Commission, 2012). The EU's official position, reaffirmed in the 2013 chief negotiators' meeting, emphasized that tariff reductions in this sector were “indispensable” to the FTA. Indian literature, including analyses by NITI Aayog and the Parliamentary Standing Committee on Commerce, argues that automobile tariff liberalization could harm domestic manufacturers and affect employment in an industry with significant backward linkages (Lok Sabha Secretariat, 2015).

Peer-reviewed scholarship (Roy, 2017; Joseph, 2019) further argues that tariff disagreements reflected a deeper division in industrial strategies: the EU sought predictable, rules-based market access, whereas India sought space for industrial upgrading. Similar disagreements are observed in wines and spirits, where EU producers sought sharp reductions from India's 150% tariff, while Indian policymakers argued that such reductions would increase social and political pressures and weaken domestic producers (ICRIER, 2016).

2) Non-Tariff Barriers (NTBs) / Non-Tariff Measures (NTMs)

NTMs are all measures other than ordinary customs tariffs that have an economic effect on trade in goods, including licensing, technical regulations, conformity assessments, quotas, and administrative procedures (UNCTAD's definition as discussed in trade policy research).

For India, NTBs constitute a major challenge in accessing European markets. Indian exporters particularly SMEs, face substantial costs in navigating EU regulatory regimes, meeting conformity-assessment criteria, and complying with licensing and procedural requirements. India has emphasized in negotiations that meaningful progress requires equal focus on NTBs, not just tariffs (PIB, Government of India, 2025). India's strategy includes seeking technical cooperation, capacity-building initiatives, and staged implementation to help domestic exporters adjust to regulatory demands (Institute for European Environmental Policy [IEEP], 2024).

From the EU side, NTBs are seen as one of the most significant impediments to realising the benefits of market access. The EU's internal trade-barrier reporting system regularly flags partner-country NTMs as restrictive, nudging partners to align with international standards and cooperate on regulatory conformity (EU Trade, European Commission, n.d.). The EU emphasizes the role of international standards, such as ISO and IEC, to reduce costs and make compliance more predictable (Euratex, 2022).

Key negotiation dilemmas include how to operationalize mutual recognition agreements (MRAs), whether to establish joint conformity-assessment centres, the pace of regulatory alignment, and the design of cooperation mechanisms. For India, ensuring that NTB provisions do not force regulatory "lock-in" is central; for the EU, enforceable and transparent regulatory disciplines are non-negotiable (IEEP, 2024).

Non-tariff barriers (NTBs) constitute one of the most challenging components of India–EU negotiations. EU sources cite India’s standards, licensing rules, conformity assessment procedures, and labelling requirements as major hurdles (European Commission, 2015). Indian literature, including RIS and EXIM Bank studies, notes that EU sanitary and phytosanitary (SPS) standards and technical barriers to trade (TBT) act as obstacles for Indian agricultural and processed food exports (RIS, 2018). NTBs emerged as central to negotiations because tariff barriers had already fallen globally, making regulatory differences a bigger impediment to market access (Baldwin, 2012). This aligns with WTO studies emphasizing the rise of the “regulatory state” in trade governance (WTO, 2012).

3) SPS (Sanitary & Phytosanitary) Measures and TBT (Technical Barriers to Trade)

The SPS Agreement (WTO) governs measures to protect human, animal, and plant life/health, requiring them to be science-based and minimally trade-distorting. The TBT Agreement (WTO) regulates technical regulations, standards, and conformity assessment, encouraging parties to use international standards and ensuring transparency (World Trade Organization, n.d.).

India’s exporters frequently confront stringent EU SPS/TBT norms — for example, in pesticide residue limits, veterinary health certification, and food-safety testing. Indian negotiators push for recognition of Indian labs, mutual acceptance of certificates, and capacity-building assistance for domestic producers to meet EU standards (Ministry of Commerce & Industry, Government of India, n.d.). India argues that overly strict EU standards could act as disguised trade barriers if enforced without flexible implementation timelines and joint risk-assessment mechanisms (IEEP, 2024).

The EU defends its SPS and TBT requirements as essential for public health, consumer protection, and environmental sustainability. It emphasizes compliance with internationally accepted norms, e.g., Codex Alimentarius, OIE, and ISO standards, and promotes technical committees in FTAs for regulatory dialogue and equivalence (European Parliament, 2024).

Negotiators are discussing provisions such as joint SPS/TBT committees, reciprocal lab recognition, phased equivalence, and technical assistance. India insists on realistic transition timelines, while the EU demands binding, predictable commitments (EPRS, 2024; IEEP, 2024).

4) Rules of Origin (RoO)

Rules of Origin determine whether a product qualifies as “originating” in a partner country and thus benefits from preferential tariff treatment under an FTA. WTO origin guidelines stress that RoO should be objective, predictable, and not manipulated for trade advantages (Ministry of Commerce & Industry, Government of India, n.d.).

India is particularly sensitive to origin rules because many of its manufacturers (especially SMEs) rely on imported inputs. Industry argues that strict product-specific rules (e.g., high local value content or transformation criteria) can be prohibitive. India advocates for cumulation (bilateral or regional), simplified certification, and electronic Certificates of Origin (CoO) to ease administrative burdens (Ministry of Commerce & Industry, Government of India, n.d.).

The EU typically favors product-specific rules (tariff-shift or regional value-content criteria) to prevent trade deflection (i.e., third-country goods entering preferentially via minimal processing in India). It also pushes for rigorous verification, audits, and anti-fraud measures (European Parliament, 2024).

Possible compromises include moderate value-content thresholds, bilateral cumulation, streamlined RoO procedures for SMEs, electronic CoOs, and capacity-building for Indian customs authorities (Ministry of Commerce & Industry, Government of India, n.d.; EPRS, 2024).

5) Services Liberalisation

Under the WTO’s General Agreement on Trade in Services (GATS), trade in services is broken into four modes: Mode 1 (cross-border supply), Mode 2 (consumption abroad), Mode 3 (commercial presence), and Mode 4 (temporary movement of natural persons) (Nordås, 2023).

Services are a cornerstone of India’s export strategy. Key priorities in the India–EU FTA include greater access for Indian IT, professional, and business-process services (Mode 1), and improved mobility for professionals (Mode 4). India also seeks recognition of professional qualifications, visa facilitation, and cross-border data flow arrangements

(Nordås, 2023). However, India is cautious about making commitments that constrain its domestic regulations around labor, data protection, and social security.

While the EU supports opening its services markets, member states retain considerable control over immigration, visa regimes, and professional licensing. Deep Mode 4 liberalisation is thus politically challenging. On digital trade, the EU often requires data-protection equivalence or adequacy frameworks (EPRS, 2024).

Negotiators are likely to explore sectoral mutual recognition (for engineers, accountants), limited visa categories for Mode 4, phased liberalisation, pilot recognition agreements, and data-governance frameworks (Nordås, 2023; EPRS, 2024).

6) Investment Protection & Dispute Resolution

Investment protection provisions typically cover fair and equitable treatment, protection against expropriation, and free transfer of funds. Historically, disputes were resolved via ISDS (Investor-State Dispute Settlement), but recent proposals favor a permanent Investment Court System (ICS) with judges, appeal mechanisms, and procedural safeguards (European Parliament, 2024).

India has grown wary of traditional ISDS due to past arbitration claims. It prefers mechanisms that preserve its policy space especially for public-interest regulation (health, environment, labor) — and often supports state-to-state dispute routes or narrow ISDS jurisdiction (Ministry of Commerce & Industry, Government of India, n.d.).

The EU advocates for a reformed, institutionalised dispute mechanism. It favors a permanent court, with appointed judges and an appellate body, to enhance legitimacy, consistency, and transparency, while still protecting investor rights (EPRS, 2024).

Potential solutions include mediation/cooling-off periods, limited jurisdiction, explicit public-policy carve-outs, and joint committees to monitor the treaty and carve-out implementation (EPRS, 2024).

7) Intellectual Property Rights (IPR) & Geographical Indications (GIs)

IPR covers protection for inventions, brands, and creative works (patents, trademarks, copyrights), while GIs are a special category protecting products whose quality, reputation, or characteristics derive from geographic origin (e.g., Darjeeling tea) (UNCTAD, n.d.).

India seeks to protect both its generic medicines sector and traditional producers. It resists TRIPS-plus obligations (e.g., data exclusivity, patent-term extensions) and insists on maintaining its public-health flexibilities, including compulsory licensing. India is also keen to secure GI recognition for heritage products like Basmati and Darjeeling (Ministry of Commerce & Industry, Government of India, n.d.).

The EU champions strong IPR enforcement and broad GI protection. It pushes for criminal sanctions, border measures against counterfeiting, and expansive GI lists covering agricultural and food items (European Parliament, 2024).

Negotiators may need to balance India's development-oriented flexibilities with EU demands. Possible trade-offs include transitional periods, capacity-building for GI registration, and tailored enforcement for small producers (Ministry of Commerce & Industry, Government of India, n.d.; EPRS, 2024).

A large volume of literature, especially from academia, civil society, and think tanks focuses on IPR as one of the most controversial elements of the BTIA. EU documents from the Directorate General for Trade indicate that the EU sought stronger patent enforcement, data exclusivity, and border measures, reflecting its standard FTA template (European Commission, 2011). Indian academic literature argues that such provisions could undermine India's generic pharmaceutical industry and increase drug prices, affecting public health outcomes (Chaudhuri, 2016; Kapur & Prasad, 2019). Public health scholars highlight that India's Patents Act, especially Section 3(d), is designed to prevent "evergreening" of patents and ensure access to affordable medicines, making IPR a politically sensitive issue (Srinivasan, 2015). These debates appear extensively in think tank papers from ICRIER, ORF, and the Centre for WTO Studies, all of which confirm that divergent legal philosophies on patents contributed to negotiation delays.

8) Customs & Trade Facilitation

Trade facilitation includes measures to modernize border procedures such as single-window systems, risk-based inspections, advance rulings, and mutual recognition of Authorized Economic Operators (AEO) as promoted under the WTO Trade Facilitation Agreement (TFA) (NSEZ, n.d.).

India prioritizes customs modernization (single-window, electronic filings, risk-management) to make trade more efficient and encourage FTA utilisation. It advocates for mutual recognition of AEO status with the EU and phased capacity upgrades (Ministry of Commerce & Industry, Government of India, n.d.).

The EU promotes interoperability, pre-arrival risk assessment, and trusted-trader schemes. It proposes deep customs cooperation, advance rulings, and technical assistance to help partners meet facilitation benchmarks (European Parliament, 2024).

Key issues include timelines for implementing single-window systems, mutual recognition of AEO status, data exchange protocols, and funding for capacity building. India may push for assistance; the EU will likely press for binding commitments on transparency and cooperation (EPRS, 2024).

9) Sustainability & Carbon Border Adjustment Mechanism (CBAM)

The EU's CBAM is a border-tax measure that prices the embedded carbon in certain imports so that non-EU producers face a cost similar to that paid by EU producers under its Emissions Trading System (ETS) (GTRI, 2023).

India strongly contests CBAM, viewing it as protectionist. It argues that the measure disproportionately burdens its energy-intensive exports, especially steel, aluminum, and cement, and that many Indian firms lack the capacity for detailed emissions reporting (Global Trade Research Initiative [GTRI], 2023). New Delhi demands transition periods, technical assistance, and recognition of its future Carbon Credit Trading Scheme (CCTS) (Business Standard, 2025; GTRI, 2023).

The EU defends CBAM as essential for its Green Deal, arguing it is a climate rather than a revenue measure. It is willing to engage in dialogue, but insists on rigorous carbon accounting and phased compliance (European Commission; GTRI, 2023).

Negotiators are exploring carve-outs, phased implementation, equivalence recognition (if Indian climate policies align sufficiently), and joint technical work on carbon accounting. India and the EU continue to negotiate whether CBAM should be part of the FTA or addressed in a separate carbon-policy agreement (GTRI, 2023; Moneycontrol, 2025).

Following the EU's increasing incorporation of Trade and Sustainable Development (TSD) chapters in all FTAs, the BTIA literature shifted around 2016–2020 toward analysing the Union's regulatory activism. EU publications and European Parliament resolutions demonstrate a strong insistence on commitments related to environmental protection, labour rights, carbon emissions reduction, and due diligence (European Parliament, 2019). Indian literature and the Institute for Human Development argues that such provisions could restrict India's policy autonomy and impose compliance costs on domestic industries (RIS, 2020). Scholars also note that India viewed these clauses as “non-trade measures” that could be used for protectionist purposes (Mehta & Kumar, 2021). These debates reflect global scholarly discussions on the “politicization” of trade agreements and the rise of value-based trade diplomacy.

10) ISDS Reform (Investor-State Dispute Settlement)

ISDS gives investors the right to bring claims against host states under FTAs or BITs. Given legitimacy concerns, the EU favors a permanent Investment Court System (ICS) with standing judges, an appeal mechanism, and procedural safeguards (European Parliament, 2024).

India has become wary of broad ISDS jurisdiction because of past awards. It stresses preserving regulatory autonomy for public-interest policies. In the BTIA, India is pushing for limited ISDS, explicit carve-outs, or state-to-state resolution first (Ministry of Commerce & Industry, Government of India, n.d.).

The EU supports an institutionalized model to ensure predictability and legitimacy in dispute resolution, with binding investor protections balanced by transparency and an appellate body (European Parliament, 2024).

A hybrid system may emerge: required mediation, limited claims scope, public policy carve-outs, appellate review, and a joint oversight committee.

CHAPTER 1: HISTORICAL EVOLUTION OF EU–INDIA TRADE NEGOTIATIONS (2000–2024)

FIRST SUMMIT 2000

The first summit between the European Union EU and India took place in Lisbon on 28 June 2000, under the presidency of the Portuguese Prime Minister and India’s Prime Minister Atal Bihari Vajpayee. This summit established the annual summit mechanism and signalled both sides’ desire to deepen political, economic and technological dialogue. The second summit was held in New Delhi on 23 November 2001 and expanded the focus to include enhanced market-access, science & technology and bilateral institutional dialogue. The third summit in Copenhagen on 10 October 2002 further emphasised cooperation in IT, education, counter-terrorism and global development issues. The fourth summit at New Delhi on 29 November 2003 concentrated on strengthening institutional structures and preparing for a longer-term economic engagement framework.

The fifth summit in The Hague on 8 November 2004 marked the upgrading of the India-EU relationship to a “Strategic Partnership”, recognising India as a key global actor and setting out broader cooperation beyond trade. The sixth summit in New Delhi on 7 September 2005 saw both parties adopt the “India-EU Joint Action Plan”, laying down concrete steps for trade, investment, science, technology and education cooperation. The seventh summit, convened in Helsinki on 13 October 2006 under the Finnish EU Presidency, was a key turning point: it reviewed the Joint Action Plan and formally endorsed the need to negotiate a broad-based trade and investment agreement, and a Joint Study Group was launched to determine scope and feasibility for such an agreement.

2007 BTIA (BROAD BASED BILATERAL TRADE AND INVESTMENT AGREEMENT)

The Broad-based Trade and Investment Agreement (BTIA) is the official name for the proposed free trade agreement between India and the European Union, first launched in June 2007. The word “broad-based” was used because the agreement was designed to cover a wide range of areas—not only trade in goods—but also services, investment, intellectual property rights, public procurement, competition policy, sanitary and phytosanitary rules, technical

barriers to trade, customs cooperation, geographical indications (GIs), and dispute settlement. In other words, the BTIA was not meant to be a simple tariff-cutting deal; it was conceived as a comprehensive economic partnership aimed at shaping long-term trade and regulatory relations between India and the EU.

By the time of the seventh summit in 2006 the EU-India relationship had grown significantly: trade between the EU and India had risen from €4.4 billion in 1980 to approximately €40 billion by 2005, the EU was India's largest trading partner accounting for 22.4 % of Indian exports and 20.8 % of Indian imports while India was the EU's 14th largest partner. The summit in Helsinki recognised that the deepening of economic ties was mutually advantageous and thus endorsed the launch of negotiations on a "broad-based bilateral trade and investment agreement" (BTIA). Formal negotiations began on 28 June 2007 and included chapters on trade in goods, trade in services, investment, sanitary and phytosanitary measures, technical barriers to trade, trade remedies, rules of origin, customs & trade facilitation, competition policy, trade defence, government procurement, dispute settlement, intellectual property rights and geographical indications (GIs). Despite the ambition, after about fifteen rounds of negotiations the talks had stalled by 2013 and entered a lengthy pause until renewed efforts in 2022.

THE PAUSE (2013-2021)

At present, trade between the European Union and India operates mainly under the most-favoured-nation (MFN) rules established by the WTO, since there is no bilateral trade agreement governing goods or services. Although India has received reduced-tariff access to the EU market through the EU's Generalised Scheme of Preferences (GSP), these preferences were temporarily suspended in early 2023 because India's exports to the EU surpassed the safeguard thresholds set under the scheme. In the area of investment, there is also no bilateral investment framework currently in force, as India decided to unilaterally terminate most of its older bilateral investment treaties with individual EU Member States. A major turning point came on 8 May 2021, when EU and Indian leaders jointly agreed to restart negotiations for a balanced, ambitious and comprehensive trade agreement, while simultaneously launching separate negotiations on a new investment protection agreement and a dedicated agreement on geographical indications (GIs).

EU–INDIA TRADE PROSPECTS AND THEIR RELEVANCE TO THE BTIA NEGOTIATIONS

The EU–India Summit of July 2020 marked a significant political shift in bilateral economic relations. During this meeting, leaders from both sides agreed to create a regular high-level ministerial dialogue dedicated to trade and investment. This decision reflected a shared recognition that longstanding issues had slowed progress for many years and prevented the EU and India from reaching a bilateral trade and investment agreement, particularly since negotiations on the Broad-based Trade and Investment Agreement (BTIA) had been stalled since 2013. Despite being the world’s two largest democratic economies, their trade relationship had not reached its potential, demonstrating the need for renewed political commitment.

The EU and India have been strategic partners since 2004, yet the momentum created by launching BTIA negotiations in 2007 was eventually lost. The talks reached deadlock in 2013 due to unresolved issues. The situation became more complex in March 2017, when India unilaterally terminated most of its Bilateral Investment Treaties (BITs), including those with nearly all EU Member States, due to several investor claims filed against India. After these terminations, only BITs with Latvia and Lithuania remained in force. India’s termination was driven by its intention to replace old treaties with agreements based on its new 2015 BIT Model, which offers narrower protections for foreign investors compared to older frameworks.

Trade and investment figures highlighted substantial untapped potential. In 2019, EU–India trade in goods totalled €79.6 billion, equal to 11.1% of India’s global trade, making the EU India’s largest trading partner, slightly ahead of the United States and China. For the EU, India ranked as the 10th largest trading partner, representing 1.9% of total EU goods trade. In the same year, the EU’s trade balance with India turned negative at –€1.3 billion. Trade in services reached €29.6 billion in 2018, with another negative EU balance of –€1.2 billion. EU foreign direct investment (FDI) stocks in India amounted to €67.7 billion, while Indian FDI in the EU was €2.6 billion. Around 6,000 EU companies operate in India, employing 1.7 million people directly and another 5 million indirectly across various sectors. Compared to EU–China relations, however, both trade flows and FDI remain significantly lower, demonstrating the largely unrealised economic potential of EU–India relations.

The BTIA negotiations stalled because of disputes on sensitive issues, including tariff liberalisation for automobiles, wines and spirits, and dairy products, opening India's markets for legal and accounting services, access to public procurement, and strengthening intellectual property protection, which India feared might harm its production of generic medicines. Human-rights clauses demanded by the EU and India's lack of data-secure status—which affects Indian IT service providers—also contributed to the deadlock. Domestic developments in India further complicated the talks, such as the draft 2019 data protection law, which raised concerns due to proposed government powers and data localisation requirements.

Beyond BTIA-related issues, broader trade irritants also slowed relations. India's protectionist policies, as indicated in the European Commission's 2019 report where India ranked 5th in number of trade barriers—and the shift toward self-reliance under the Aatma Nirbhar Bharat Abhiyan (May 2020) added to EU concerns. Additional disputes involved WTO cases initiated by the EU, such as the 2019 complaint regarding Indian technology tariffs. Meanwhile, the pandemic prompted the EU and India to revisit supply-chain vulnerabilities and the need to strengthen economic ties within a rules-based global order.

To address these challenges, the July 2020 Summit formalised a high-level trade dialogue aimed at unlocking bilateral trade potential, resolving long-standing irritants, supporting negotiations on trade and investment agreements, and enhancing supply-chain cooperation. This approach aligns with the EU's 2018 Strategy on India, which emphasises a transparent, predictable and non-discriminatory business environment that safeguards investment and intellectual property rights. During the summit, both sides also reaffirmed their commitment to the WTO, multilateralism and joint engagement in global economic governance, particularly through the G20.

From the perspective of EU institutions, the European Parliament has consistently supported the conclusion of a comprehensive and ambitious FTA with India. In its 2017 report on EU–India political relations, the Parliament stressed that any agreement must deliver economic, social and political benefits for both partners while respecting WTO and ILO standards, corporate social responsibility principles and the overarching goals of poverty reduction and human-rights protection.

WHY THE BTIA DID NOT REACH COMPLETION (2007–2013)

The Broad-based Trade and Investment Agreement (BTIA), initiated in 2007, was intended to serve as a comprehensive economic partnership between India and the European Union. Despite the initial momentum, the negotiations gradually lost traction, and by 2013 the process had come to a standstill. The collapse of the talks was largely due to fundamental differences between the EU's expectations for market openness and India's need to protect key domestic sectors.

A major area of contention was tariff liberalisation. The EU pushed India to substantially reduce tariffs on sensitive products such as automobiles, wines and spirits, and certain dairy items. These sectors are closely tied to India's industrial and agrarian interests, and lowering tariffs to the extent demanded by the EU was seen as a risk to domestic producers. India therefore resisted, creating a persistent deadlock in one of the core negotiating areas.

Services liberalisation formed another major obstacle. The EU sought wider access to India's market in regulated services such as legal and accounting professions, whereas India maintained its restrictions based on national regulatory frameworks. At the same time, India expected improved access for its IT and service professionals—especially in areas requiring temporary movement of workers (mode-4). Progress was limited because the EU had not recognised India as a data-secure country, a status that directly affects the ability of Indian IT firms to process sensitive European data. This issue alone impeded meaningful advancement.

The chapter on public procurement also stalled the negotiations. The EU pressed for greater access to Indian public procurement systems, but India viewed this sector as a tool for development policy and was unwilling to open it extensively.

Differences over intellectual property rights (IPR) further deepened the divide. The EU's proposals for enhanced IPR protections raised concerns in India, particularly within the pharmaceutical sector. India feared that stronger patent rules would negatively affect its generic medicine production, limiting access to affordable drugs both domestically and internationally. Given India's vital role in the global supply of low-cost medicines, this issue was non-negotiable.

The EU's proposal to incorporate human-rights clauses as enforceable components of the agreement added another layer of difficulty, as India did not support embedding such provisions within a trade and investment framework.

Political and structural developments also influenced the broader negotiation climate. In 2017, India unilaterally terminated most of its Bilateral Investment Treaties (BITs) with EU Member States after facing multiple arbitration claims from foreign investors. This step significantly changed the context for investment discussions. While the EU pushed for a modern investment protection system aligned with its newer standards, India preferred to negotiate based on its 2015 Model BIT, which offers a narrower interpretation of investor protection. The two sides remained far apart on this issue.

By 2013, these combined disagreements—spanning tariffs, services, investment, procurement, and intellectual property—left little room for progress. With none of the key chapters moving forward, the BTIA negotiations stalled entirely, and no fresh negotiating rounds were held for nearly ten years.

Renewed political engagement only appeared in 2021–2022, when leaders from both sides agreed to restart the process. Instead of reviving the BTIA as a single, broad agreement, the parties decided to divide it into three separate tracks:

1. A Free Trade Agreement (FTA),
2. An Investment Protection Agreement, and
3. A standalone Geographical Indications (GI) Agreement

GEOGRAPHICAL INDICATIONS (GI) AGREEMENT (2022)

The progression from the original BTIA framework to a dedicated Geographical Indications (GI) agreement reflects an important shift in how India and the European Union approach intellectual property cooperation. When BTIA negotiations were active between 2007 and 2013, GIs were included as part of the wider intellectual property chapter. However, discussions on this issue soon revealed fundamental differences. The EU sought a system of mutual recognition that focused primarily on agricultural products, wines and spirits, whereas India's GI landscape covers a much broader range of non-agricultural products, particularly handicrafts. Because the EU system at the time did not offer broad protection for such goods,

India was reluctant to accept the EU's proposed model. This mismatch became one of the many unresolved elements that contributed to the 2013 breakdown of BTIA negotiations.

A turning point arrived in June 2022, when the EU and India relaunched their trade engagement under a redesigned structure. Instead of attempting to revive the BTIA in its original, all-inclusive form, the two sides agreed to separate the negotiations into three independent tracks: a free trade agreement, an investment protection agreement and a stand-alone GI agreement. This separation marked a deliberate strategic shift. By treating GIs as its own negotiation stream rather than a subsection of a broader treaty, both parties acknowledged the need for a more specialised and flexible approach.

The rationale for creating a dedicated GI agreement stems from the differing priorities of India and the EU. For the EU, GIs are well established, especially in relation to agricultural goods and alcoholic beverages, and the EU seeks strong mutual recognition of its protected products. India, however, has a significantly wider GI portfolio that includes textiles, crafts and artisanal goods. These products would not have fit comfortably under the older EU GI model, which explains India's earlier hesitation. By negotiating a separate GI agreement, India is better positioned to argue for the inclusion of its handicraft-based GIs, while the EU can continue to pursue a structured system of recognition for its own products.

Since 2022, the stand-alone GI track has been progressing through multiple negotiation rounds, with documented activity extending into 2024. This specialised track increases the likelihood of meaningful outcomes because it allows negotiators to concentrate on technical GI issues without being held back by larger disagreements in the broader free trade agreement.

Overall, the shift from the BTIA's broad approach to a multi-track negotiating structure demonstrates a pragmatic response to earlier deadlocks. Separating GIs into an independent agreement allows India and the EU to address one of their historically difficult topics with greater clarity and flexibility. It also signals that both sides now view GIs as an important and distinct component of their evolving trade relationship.

EU NEGOTIATION OBJECTIVES

The EU renewed its trade negotiations with India because it believes both sides are still far from realising the full economic potential of their partnership. In 2021 India ranked as the EU's 10th largest trading partner, accounting for just over 2% of the EU's total trade, while the EU stood as India's 3rd largest partner with around 11% of India's trade. Seeing this gap between potential and actual performance, the EU aims for a modern, comprehensive agreement that does much more than reduce tariffs. Its objectives include deeper cooperation in services, digital trade, investment, intellectual property, public procurement and regulatory standards. A major priority for the EU is sustainability: the future agreement is expected to carry enforceable commitments on labour rights, environmental protection and climate action in line with the European Green Deal. The EU also wants a strong investment protection framework to give investors on both sides greater certainty and to encourage larger flows of foreign direct investment. Additionally, the EU seeks a robust Geographical Indications (GI) agreement to safeguard distinctive regional products, support rural livelihoods, improve market access for quality goods and enhance global recognition of GIs.

CHAPTER 2 - MAJOR THEMES, ISSUES, DEBATES, CONFLICTS & SECTOR-WISE ANALYSIS

HISTORICAL CONTEXT, EARLY NEGOTIATION DYNAMICS, AND TARIFF CONFLICTS

The India–European Union Free Trade Agreement (FTA), formally called the Broad-Based Trade and Investment Agreement (BTIA), has evolved into one of the most complex and prolonged trade negotiations in modern international economic diplomacy. Since its launch in 2007, the agreement has required 14 negotiation rounds, long periods of stagnation, multiple re-starts, and sustained attempts to bridge fundamental differences in trade policy frameworks.

The delays stem from structural divergences in developmental priorities, domestic policy constraints, sector-specific protectionist pressures, and an evolving global trade landscape. Government sources including the European Commission Directorate-General for Trade, the Ministry of Commerce and Industry (India), as well as academic analyses from ICRIER, RIS, the European Parliament Research Service (EPRS), and official High Representative reports show that tariff disputes formed the earliest and most contentious layer of conflict between the two sides (European Commission, 2007; Ministry of Commerce, 2013; EPRS, 2022). Although tariffs have lost relative importance compared to new areas like digital trade or sustainability, they remain central to India's defensive concerns. This part of the chapter situates tariff disagreements within their historical context and explains their evolution across negotiation rounds.

EARLY NEGOTIATION PHASES AND STRUCTURAL SOURCES OF DELAY

When negotiations began in 2007, the EU expected a "high-ambition" FTA, consistent with its Global Europe strategy targeting deep, comprehensive, and legally binding trade agreements with major emerging economies. For India, however, the BTIA was its first high-standard negotiation with an advanced economy bloc, which required recalibrating its long-standing preference for moderate liberalisation and asymmetric tariff concessions. Government white papers from the European Commission (2006–2008) and India's

Department of Commerce annual reports during this period clearly indicate a large mismatch in expectations from the very beginning. The EU approached the negotiations with a template similar to its agreements with South Korea or Chile, while India pushed for greater flexibility and sensitivity toward its development needs, especially in agriculture, automobiles, dairy, and processed foods (DG Trade, 2007; Department of Commerce, 2008).

The first five rounds of negotiations (2007–2010) revealed this structural imbalance. EU officials repeatedly emphasised tariff elimination on 90% of tariff lines, while India resisted liberalisation in key labour-intensive and politically sensitive sectors. Academic analyses from ICRIER and the London School of Economics (LSE) BTIA impact assessment (2010), identify this period as a phase where both sides realised the depth of their divergence. The EU's economic structure, dominated by high-tech manufacturing, retail, and services, contrasted sharply with India's priorities of protecting SMEs, infant industries, and rural livelihoods. As Indian parliamentary committee reports on industrial policy from these years reflect, tariff liberalisation was not merely an economic choice; it was embedded in political, social, and developmental concerns (Lok Sabha Parliamentary Standing Committee on Commerce, 2010).

The result was recurring roadblock. Negotiation rounds often ended with both sides recording progress in areas of lesser friction such as competition policy and transparency but little movement on the market access front. The EU argued that India's tariff peaks (especially 60–100% duties on cars and 150% on Scotch whisky) undermined the spirit of a deep and comprehensive FTA. India, on the other hand, argued that the EU's own agricultural subsidies and SPS standards functioned as non-tariff barriers, limiting India's export potential. Each side saw the other's demand for tariff reduction as disproportionately burdensome, contributing to repeated delays and interruptions, especially between 2013 and 2021, when negotiations were suspended.

TARIFF CONFLICTS IN AUTOMOBILES: THE MOST SYMBOLIC DEADLOCK

Among all tariff disputes, automobiles became the most politically symbolic sector. Official EU trade reports frequently highlight that India imposes some of the highest automobile tariffs in the world, which is 60% on Completely Built Units (CBUs) and 100% on certain categories. The EU claimed these tariffs restricted the entry of European premium car

manufacturers such as BMW, Mercedes-Benz, and Volkswagen, despite India's growing luxury car market (European Commission, Trade Policy Review 2011). The EU expected India to bring tariffs down to levels comparable with ASEAN FTAs, where CBUs often enter at 0–5% under preferential agreements.

The Indian standpoint, however, was shaped by strong domestic industry concerns. The Society of Indian Automobile Manufacturers (SIAM) repeatedly warned the Ministry of Commerce and Industry that rapid tariff elimination would lead to import surges, loss of domestic value addition, and long-term damage to the "Make in India" manufacturing ecosystem. Indian government documents (Department of Heavy Industries, annual reports 2009–2015) demonstrate that protecting domestic auto production was integral to India's industrial policy. Unlike the EU, where high-end automobile manufacturing is a competitive strength, India's automobile tariff policy has historically served as a strategic tool to encourage local assembly, component production, and technology transfer.

Negotiation rounds between 2007 and 2013 repeatedly stalled because the EU pushed for deep tariff cuts, while India offered only staged, partial reductions. Think tanks such as ICRIER, RIS, and the German Institute for Global and Area Studies (GIGA) note in their analyses that concessions in this sector were politically "nearly impossible" without corresponding benefits from the EU, particularly in services and mobility (ICRIER Working Paper No. 267, 2013). Thus, tariff disputes in automobiles became linked to progress in Mode 4 mobility, further complicating the negotiation matrix.

TARIFF CONFLICTS IN ALCOHOLIC BEVERAGES (SCOTCH WHISKY AND WINES)

The EU's second major tariff-related grievance concerned India's high duties on alcoholic beverages, 150% basic customs duty on Scotch whisky and wines. Official EU negotiating briefs from 2008–2013, frequently cite this as a priority offensive interest. European industry groups argued that India's high tariffs restricted market access, even though India is one of the fastest-growing markets for spirits.

From India's side, several factors drove resistance. First, alcohol taxation is constitutionally a state subject, meaning tariff reduction at the central level does not remove state-level duties, excise taxes, or regulatory barriers. States such as Maharashtra, Tamil Nadu, and Karnataka

rely heavily on alcohol revenue, making policy changes politically sensitive. Second, domestic liquor industries, especially in Maharashtra and Goa, lobbied against large tariff cuts, fearing loss of market share to European brands (RIS Policy Research Notes, 2012). India argued that alcoholic beverages are luxury products, and therefore higher tariffs are justified under the principle of promoting social welfare and discouraging harmful consumption.

By Round 12 (2012–2013), negotiators achieved near-agreement on a phased tariff reduction model, but talks collapsed in the final stage when the EU demanded faster tariff elimination than what India was willing to offer. According to European Parliament briefing notes (2014) and Indian Ministry of Commerce press statements from the same period, this sector was one of the last unresolved issues before negotiations were formally paused in 2013.

TARIFF CONFLICTS IN DAIRY AND AGRICULTURE

Agriculture consistently created friction because the EU sought access to India's growing food and dairy markets, while India remained highly protective due to livelihood concerns. EU agricultural exports, especially cheese, milk powders, whey proteins, and processed foods, face high Indian tariffs ranging from 30% to 60%. EU agricultural exporters argued that tariff reduction could enable technology transfer and diversify India's food processing sector, but India viewed such liberalisation as a direct threat to small farmers and cooperatives like Amul.

Indian government submissions to the WTO Committee on Agriculture (2011–2014) clearly show India's defensive position in dairy, citing rural livelihoods and vulnerability of small-scale producers. Meanwhile, EU common agricultural policy (CAP) subsidies were perceived by India as distortions that made tariff liberalisation unfair. Academic papers published by ICRIER and the Indian Institute of Foreign Trade (IIFT) argue that this asymmetry was a fundamental barrier to compromise, since EU producers benefited from large-scale mechanisation and government-backed price stabilisation, while Indian dairy was dominated by small producers.

Because of the sensitivity of the sector, Indian negotiators repeatedly sought to exclude dairy from tariff concessions entirely. EU negotiators, however, insisted that a "comprehensive" agreement required coverage of dairy, even if only partially liberalised. This difference

persisted across all early negotiation rounds and remained unresolved even after talks resumed in 2022 following an eight-year break.

NON-TARIFF BARRIERS IN AGRICULTURE: SPS AND TBT DISPUTES

Apart from tariffs, the EU's stringent Sanitary and Phytosanitary (SPS) and Technical Barriers to Trade (TBT) standards were a major source of India's dissatisfaction. Indian exporters frequently face rejections for basmati rice, spices, seafood, and organic products due to EU maximum residue limits (MRLs) and traceability requirements. Government reports, including the Marine Products Export Development Authority (MPEDA) annual reports and APEDA notifications, identify the EU as the strictest market for Indian agricultural imports.

India argued in several negotiation rounds that EU SPS standards function as hidden protectionism. The EU, however, maintained that its standards reflect public health concerns and cannot be relaxed for FTA partners. European Parliament trade committee documents confirm that SPS rules are not negotiable within FTAs, though cooperation mechanisms can be strengthened.

This conflict was central to early negotiation delays where India demanded recognition of its certification systems and mutual recognition agreements (MRAs), while the EU insisted on importer-side verification. Academic work from Wageningen University and IIFT shows that SPS disputes particularly affected fisheries, rice, spices, and organic foods, that is sectors where India has strong export potential but faces compliance challenges. Despite several technical working groups, progress was limited, and the issue contributed to slowing down tariff discussions on the EU side as well.

SERVICES, MOBILITY, IPR, INVESTMENT PROTECTION, PUBLIC PROCUREMENT & GIS

The India–EU Free Trade Agreement (BTIA) negotiations have consistently grappled with one of the most structurally complex areas of economic diplomacy: services and mobility. India and the European Union approach services liberalisation from fundamentally different economic realities, regulatory philosophies, and labour market pressures.

The EU's service market is deeply intertwined with internal regulatory frameworks especially the Services Directive, GDPR, professional qualification rules, and the Schengen mobility system, while India's service competitiveness is anchored in labour mobility under General Agreement on Trade in Services (GATS) Mode 4. These two systems have repeatedly proven difficult to reconcile.

According to the European Commission (2022), the EU pursues a “negative-list” approach and demands high levels of regulatory convergence, while India prefers a “positive-list” approach to preserve flexibility in sensitive sectors such as legal services, accounting, financial services, and retail. This divergence became one of the longest-running sources of friction throughout the 14 negotiation rounds.

SERVICES TRADE AND MOBILITY (MODE 4): THE CORE BOTTLENECK

India's primary interest in the BTIA is mobility of skilled professionals from IT engineers, consultants, nurses, to intra-corporate transferees, and contract service suppliers. Services constitute more than 55% of India's GDP and a major portion of bilateral trade with the EU. Indian IT-ITeS companies such as TCS, Infosys, Wipro, and HCL have a strong presence in Europe, and these firms rely heavily on temporary movement of professionals. Government documents including India's official submission during GATS negotiations, consistently emphasise that restrictive EU visa regimes, burdensome qualification requirements, and lack of mutual recognition agreements (MRAs) increase the cost of Indian service exports (Ministry of Commerce & Industry, 2010; 2023).

The EU, however, has limited political space to expand labour mobility due to domestic concerns about migration inflows. Academic analysis from the London School of Economics notes that the EU's internal labour market rules, including Blue Card frameworks, prioritise long-term talent shortages rather than temporary service providers (LSE, 2021). As a result, the EU prefers to facilitate mobility only for high-income intra-corporate transferees, with stringent salary thresholds and qualification benchmarks. These conditions clash with India's expectation of broader and more affordable mobility categories.

Across the 14 rounds, the mobility issue stalled progress repeatedly. Round 5 (2011) and Round 8 (2013) documented major disagreements over salary thresholds for Indian workers.

When talks resumed in 2022, the EU offered limited concessions for short-term business visas, but India insisted on deeper reforms such as streamlined visa processes, transparent evaluation timelines, and recognition of Indian qualifications in engineering, nursing, architecture, and legal services. Think tanks such as ICRIER (2023) argue that without meaningful mobility commitments, the FTA lacks economic justification for India, since tariff concessions alone cannot offset the losses from restricted services access.

WHY IT HAS NOT BEEN RESOLVED YET

The crux of the deadlock lies in institutional incompatibilities. Mobility negotiations depend not only on trade officials but also on immigration ministries, interior ministries, and professional regulatory bodies. Even if trade negotiators agree, implementation requires alignment across dozens of national-level regulators in the EU's 27 member states. This multi-layered structure is one of the key reasons why services liberalisation remains among the least advanced chapters even after 14 rounds. India has softened its position somewhat by accepting sector-specific MRAs and proposing a framework for digital mobility in IT services, but the EU has moved slowly due to political sensitivities.

As of Round 14 (2025), the two sides have made progress on intra-corporate transferees and short-term business visitors, but critical issues such as contract service suppliers and independent professionals remain unresolved.

INTELLECTUAL PROPERTY RIGHTS (IPR) & PHARMACEUTICALS

IPR became one of the most contentious areas early in the negotiations, particularly due to the EU's demand for TRIPS-plus commitments. European pharmaceutical, biotechnology, and creative industries have long expressed concerns over India's flexible patent rules, particularly Section 3(d) of the Indian Patent Act, which prevents evergreening of drug patents. This provision has been repeatedly defended by the Government of India as essential for ensuring affordable access to medicines, a stance supported by WHO-backed academic literature (Chaudhuri, 2019).

From as early as Round 2 (2008), EU negotiators pressed India for extended patent terms, data exclusivity, and stronger enforcement measures. The European Parliament's briefing note (2011) confirms that the EU sought data exclusivity of up to 10 years for pharmaceuticals, far beyond India's TRIPS obligations. India argued that such provisions

would delay the entry of generics, significantly raising healthcare costs. India's domestic pharmaceutical industry, supported by think tanks like the South Centre and academic work from public-health scholars, repeatedly warned negotiators that TRIPS-plus rules would undermine India's role as "the pharmacy of the Global South."

This clash stalled negotiations for years. The 2013 breakdown of talks was partly due to the lack of progress on IPR. When talks resumed in 2022, India refused to renegotiate its core pharmaceutical patent rules. A compromise has tentatively emerged, India may strengthen enforcement against counterfeit goods and improve customs cooperation, while the EU has dropped its earlier demand for TRIPS-plus pharmaceutical provisions (European Commission, 2023). However, discussions continue on GI protection, copyright enforcement, and digital piracy, leaving the chapter partially unresolved.

INVESTMENT PROTECTION AGREEMENT (IPA): INVESTOR–STATE MECHANISMS AND REGULATORY AUTONOMY

The investment chapter, negotiated separately but in parallel, became another major source of delay. Historically, India and the EU have clashed over the design of investor–state dispute settlement (ISDS). The EU's new model, as seen in agreements with Canada and Vietnam, incorporates an Investment Court System (ICS) with permanent judges and appellate review. India, however, shifted dramatically after facing large arbitration claims (e.g., Vodafone, Cairn Energy), prompting it to adopt a new Model Bilateral Investment Treaty in 2016 that restricts investor rights and emphasises domestic legal remedies (Government of India, 2016).

The EU insists on strong investor protections, including fair and equitable treatment (FET), protection against indirect expropriation, and access to an independent adjudicatory mechanism. India is reluctant due to concerns about regulatory sovereignty and litigation risk. Academic analyses from Brookings India (2020) highlight that India's hesitation stems from the desire to avoid costly arbitral claims that may challenge public policy decisions related to taxation, environment, and industrial regulation.

Across the 14 rounds, the IPA has made the slowest progress. The EU has refused to dilute its ICS model, while India refuses to accept obligations that exceed its 2016 Model BIT template. Some movement was seen in Round 13 (March 2025), when both sides agreed to

explore hybrid models combining domestic remedies with limited international adjudication. Yet, this chapter remains far from conclusion and is a major bottleneck to concluding the FTA package.

PUBLIC PROCUREMENT

Public procurement is highly sensitive for India because government purchases contribute significantly to GDP and function as a policy tool for promoting MSMEs and domestic manufacturing. India is not a member of the WTO Government Procurement Agreement (GPA), giving it flexibility in awarding contracts based on socio-economic priorities. The EU has continually sought greater access to Indian procurement markets, especially in transport, energy, railways, engineering projects, and smart-city infrastructure (European Commission, 2022).

However, India's position, as echoed in multiple Parliamentary Standing Committee reports, is that premature procurement liberalisation would expose domestic firms to overwhelming competition from technologically advanced EU companies, undermining "Make in India" and PLI-linked industrial development (Government of India, 2020). As a result, India has offered only limited transparency commitments and has resisted national treatment for EU firms in sovereign procurement contracts.

Public procurement became a recurring point of contention in Rounds 4, 9, 11, and 14. While both sides tentatively agreed to cooperate on procurement transparency and capacity-building, the chapter remains largely unresolved.

COMPETITION POLICY & REGULATORY BARRIERS

Another domain of disagreement concerns competition policy and regulatory transparency. The EU's FTAs typically demand robust rules preventing anti-competitive behaviour, market-distorting subsidies, and preferential treatment of state-owned enterprises (SOEs). India argues that competition law is already adequately governed by the Competition Commission of India (CCI), and that EU-level commitments could interfere with developmental policymaking (ICRIER, 2020).

Non-tariff barriers (NTBs), including conformity assessment, licensing, testing, and certification also emerged as major friction points. The EU, with its stringent health, safety,

and environmental rules, often requires Indian firms to undergo costly compliance procedures. India argues for mutual recognition agreements (MRAs) to ease this burden. Negotiations have seen partial progress, but as of Round 14, MRAs exist only in limited sectors such as telecommunications equipment and certain organic products.

GEOGRAPHICAL INDICATIONS (GIS): CONFLICT AT THE INTERSECTION OF CULTURE, COMMERCE, AND IP

GIs have been another major sticking point. The EU demands strong GI protection for products such as Champagne, Parmesan, Feta, Prosciutto, and Scotch whisky. India has raised objections based on three grounds:

1. Loss of generic names affecting Indian food processing industry
2. Potential conflict with existing domestic trademarks
3. Regulatory burdens for Indian exporters

India has its own GI interests, Darjeeling tea, Basmati rice, Kolhapuri chappal, Banarasi saree to name some, but the scale of EU claims is significantly larger. Academic work from the Centre for WTO Studies explains that GI harmonisation requires detailed legal vetting, making it one of the slowest-moving chapters (CWS, 2021).

The EU expects India to adopt enforcement levels similar to its FTAs with Japan and Vietnam, but India insists on a balance between protection and market flexibility. As of the latest round, both sides have exchanged consolidated GI lists, but final harmonisation remains pending.

SUMMARY OF WHY THESE CONFLICTS PERSIST ACROSS 14 ROUNDS

Across services, IPR, investment protection, procurement, and GIs, three structural factors continue to impede progress:

1. **Regulatory asymmetry** (EU's stringent rules vs. India's developmental flexibility).
2. **Political economy constraints** (labour mobility in the EU; pharmaceuticals and agriculture in India).

3. Institutional fragmentation (involvement of multiple ministries, regulators, and EU member states).

Despite significant progress since 2022, these chapters remain the deepest sources of disagreement and will likely determine the timeline for concluding the FTA.

DIGITAL TRADE, SUSTAINABILITY, LABOUR, CLIMATE INSTRUMENTS & CROSS-CUTTING INSTITUTIONAL DYNAMICS

The negotiation of digital trade in the India–EU FTA has emerged as a defining battleground in recent rounds. As both economies have deepened their technological interdependence, older trade models based solely on goods and services have become inadequate. The European Union, steeped in the norms of the General Data Protection Regulation (GDPR), emphasizes data protection, cross-border data flows, and strong cyber-security norms.

Official EU documents and negotiating texts make clear that the EU sees the FTA as a vehicle not only for economic exchanges but also for enshrining data governance standards (European Commission, 2023). On the other hand, India's regulatory posture has evolved under the twin pressures of digital transformation and national security. The Ministry of Electronics and Information Technology (MeitY) has repeatedly asserted that any FTA commitment must preserve "data sovereignty" and safeguard India's right to enforce localization, while still facilitating trade (MeitY, 2024). Scholars argue that India's insistence on localization and regulatory space reflects its dual objective of building a resilient domestic data ecosystem and protecting its strategic autonomy in the digital domain (Chaturvedi & Iyer, 2022).

Negotiations over a "digital trade chapter" thus traverse profoundly different legal philosophies. While the EU pushes for adequacy decisions or equivalence frameworks, India is wary of granting what it perceives as open-ended or irreversible consent to EU-style data regimes. According to think-tank analyses (RIS, 2024), India demands conditional or phased adequacy status wherein its domestic data protection laws converge gradually with the EU's requirements. The EU, however, seeks more legally binding assurances, including judicial cooperation, cross-border enforcement and access to data for regulatory purposes. This tension has persisted across multiple negotiation rounds, notably resurfacing in recent

2024–2025 talks where India reiterated its demand for a “graduated” approach to data adequacy rather than full equivalence.

Parallel to digital trade, sustainability, labour standards, and environmental clauses have assumed a central role in the FTA debates, reflecting the EU’s broader Green Deal agenda. For the EU, trade cannot be divorced from environmental and social responsibility; therefore, any modern FTA must include enforceable provisions on labour rights, emissions, deforestation, and carbon intensity (European Parliament, 2024). The EU has also tied these conditions to climate-policy instruments such as the Carbon Border Adjustment Mechanism (CBAM), making them non-negotiable from its perspective (European Commission, 2022).

India, conversely, has viewed some of these environmental demands through a developmental lens. Indian negotiators and think tanks argue that sustainability conditions must be “development-sensitive”: climate obligations should not limit India’s capacity to industrialize, and carbon pricing mechanisms like CBAM must account for structural inequalities (RIS, 2023). India has repeatedly called for “transitional support, carve-outs, and recognition” of its decarbonization pathway aligned with its Nationally Determined Contributions (NDCs). According to an analysis by the Council on Energy, Environment and Water (CEEW, 2024), India has proposed a phased CBAM equivalence model linked to capacity-building for carbon accounting, where Indian industries would receive assistance to comply with emissions reporting and verification norms.

The labour clause also remains a contested domain. The EU demands alignment with International Labour Organization (ILO) core conventions, enforceable dispute settlement mechanisms, and transparency in labour legislation. India, however, fears that strong labour obligations could undermine its regulatory autonomy and impose financial burdens on small enterprises. Academic work indicates that Indian policymakers view binding labour provisions as a possible “backdoor” for protectionism disguised as social compliance. As a result, negotiators have discussed a compromise involving a combination of binding labour obligations for core ILO standards, plus softer language and capacity-building on worker safety, wage transparency, and social dialogue (ORF, 2024).

CBAM, in particular, has become a pivotal point of trade-climate contention. The EU’s CBAM proposal seeks to levy a carbon-based charge on imports of steel, cement, aluminium, and fertilizers, based on their embedded emissions. While the EU frames it as an essential

climate policy for preventing “carbon leakage,” India interprets it as a protectionist tax designed to punish carbon-intensive exporters (Ministry of Commerce & Industry, 2025). Indian think tanks argue that without realistic equivalence, transition safeguards, and financial assistance, CBAM could severely dampen competitiveness in key sectors and even disincentivize industrial decarbonization.

Over the 14 negotiation rounds, CBAM has been raised repeatedly, often in technical tracks separate from core trade talks. The EU has offered cooperation through carbon accounting, emissions verification, and technology transfer, but India has insisted that such cooperation must be reciprocated with flexibility, phased implementation, and support for its emerging carbon credit market (RIS, 2024). Despite advances in the later rounds, disagreements persist over the design of glide paths, reporting standards, and potential exemptions. As of the 2025 round, both sides continue to explore hybrid proposals but have yet to finalize a legally binding arrangement for CBAM within the FTA text.

Another cross-cutting issue is regulatory convergence and enforcement. The EU demands rigorous commitments to “good regulatory practices,” transparency, public consultations, and impact assessments, mechanisms intended to reinforce predictability and trust. India acknowledges the importance of regulatory coherence but warns against “regulatory lock-in” which may limit future policy flexibility. According to academic analyses (Bhushan & Singh, 2022), Indian negotiators have been wary of adopting EU regulatory norms too rigidly, preferring instead a gradual convergence approach supported by technical cooperation and regulatory dialogues.

Human rights and labour protections have also surfaced as political concerns. While the EU often links trade agreements to conditionality around governance and labour standards, India resists external interference in its domestic policy-making. Indian diplomatic narratives emphasize that trade should not become a tool for imposing social models, arguing instead for cooperative arrangements that preserve sovereignty while fostering dialogue (MEA, 2023). The interplay of these institutional dynamics, regulatory convergence, enforcement mechanisms, and political sovereignty, continues to slow progress across sustainability and digital chapters alike.

In sum, the literature and negotiation record from 2007 to 2025 make it clear that digital trade and climate issues are not peripheral but central to the future of India–EU FTA. The EU

continues to see the FTA as a vehicle for its regulatory model and global climate leadership, while India pursues an FTA that safeguards its developmental trajectory, secures its industrial base, and preserves national policy autonomy. The way these chapters resolve, or do not, will likely shape whether the BTIA emerges as a 21st-century “deep trade” agreement or remains an ambitious but perpetually unfinished project.

CHAPTER 3 - POLITICAL–ECONOMIC DYNAMICS, TRUST DEFICITS & INSTITUTIONAL CONSTRAINTS

Negotiations between India and the European Union (EU) for a Free Trade Agreement (FTA) are not merely technical exercises in tariff reduction, but deeply embedded in political-economic contestation, structural mistrust, and competing visions of regulatory governance. During decades of talks, recurring disagreements reveal a persistent trust deficit: India fears regulatory overreach, while the EU fears non-compliance and weak enforcement. This gap is not incidental but rooted in fundamental ideological and institutional differences that have shaped negotiation behaviour, strategic priorities, and the pace of progress.

A central pillar of this mismatch is the perception of political risk. The EU Institute for Security Studies (ISS) argues that, even though India is a strategic partner and the world's largest democracy, its sheer economic scale, heterogeneity, and development trajectory make it a more challenging FTA partner than smaller or more homogenous economies (ISS, 2025). European negotiators frequently express concern that India may not fully commit to the high regulatory standards the EU demands, whether on environmental norms, labour rights, or corporate sustainability, and that weak implementation could undermine the enforceability of the deal. Conversely, Indian analysts and government officials view the EU's demands as "over-regulation" disguised as trade policy. India-EU Trade Council reports emphasize that New Delhi often uses the principle of policy space to resist legally binding obligations that may curtail its developmental flexibility (India-EU Trade Council, 2025).

Trust, or the lack thereof, is compounded by ideological disparity. Scholarly work by Katrak and Devos (2021) underscores that the political ideologies of Indian negotiators often prioritise sovereignty, non-interference, and gradual reform, while the EU's bargaining posture is driven by its commitment to universal regulatory norms, rule-based governance, and transnational standards. These divergent paradigms make mutual concessions fraught with political risk. For India, conceding to EU-style enforcement might be perceived domestically as ceding to "foreign diktats," especially in policy areas such as environmental regulation, data governance, and labour rights. For the EU, weak compliance mechanisms foster fears that India might backtrack once domestic priorities shift, particularly given electoral cycles and staggered state-level interests.

Institutional fragmentation further aggravates this trust deficit. Unlike more centralized partners, India's federal structure, with strong state governments, complicates the ability to negotiate binding commitments. For example, issues such as environmental regulation or labour provisions require coordination across different ministries and states, making it difficult for negotiators to assure the EU of seamless implementation (Business Standard, 2025). On the EU side, circular governance, where decisions must be accepted by all member states means that ambitious regulatory demands can be resisted or diluted internally, weakening the credibility of EU commitments in Indian eyes (EuroParl EPRS Briefing, 2024).

In the negotiation rounds, trust concerns have manifested in repeated calls for phased implementation, safeguard clauses, and non-binding parallel tracks. Indian negotiators have consistently proposed staggered commitments on regulation, arguing that a sudden rush to converge on EU norms would destabilize its domestic industries. The EU has responded cautiously, suggesting that "soft" obligations may undermine predictability and legal certainty. As a result, frameworks under discussion frequently include review mechanisms, joint committees, and mutual evaluation protocols rather than immediate, hard-enforcement standards (EEAS, 2025).

Geopolitical considerations also colour the dynamics of trust. Both sides have framed the FTA not just in economic, but in geostrategic terms. The EU sees the deal as an anchor of its Indo-Pacific strategy, deepening ties with a major democratic partner and cushioning against overreliance on China. India, for its part, views strengthened economic ties with the EU as critical for supply-chain diversification and technological capacity-building. Official EU policy documents highlight that improved regulatory convergence, legal certainty, and investment protection are vital to building a resilient economic relationship (EU-India JOIN Strategy, 2025). But this geopolitical impetus raises suspicion on both sides: the EU worries that India might delay genuine regulatory alignment under the guise of strategic maneuvering, while India fears that competitiveness demands may lead to unequal obligations.

Domestic political economy constraints also play a decisive role. In India, protecting key constituencies like farmers, small and medium enterprises (SMEs), domestic manufacturers, and vulnerable labour groups has been a consistent priority. Analysts from the Global Trade Research Initiative (GTRI) note that Indian negotiators are under constant pressure to

preserve tariff protection and policy flexibility, and these domestic pressures feed into mistrust over long-term commitments (Business Standard, 2025). On the EU side, domestic political calculation also influences its bargaining posture: member states risk domestic backlash if concessions on climate or sustainability are perceived to undermine competitiveness or sovereignty.

Another dimension of institutional constraint is the capacity gap. While legal and technical working groups have proliferated over the 14 negotiation rounds, operationalizing agreements remains a challenge. Even when both sides agree to review mechanisms, the lack of robust institutional infrastructure to monitor compliance, especially in India, raises doubts about whether commitments will be effectively implemented. European negotiators and analysts point to the need for stronger administrative capacity, capacity-building programs, and mutual trust-building measures before legally enforceable frameworks can be rolled out (PISM, 2025).

Finally, there is strategic hedging on both sides. Due to the protracted nature of talks, both India and the EU appear to be balancing ambition with caution. India's renewed engagement since 2022 reflects a pragmatic calculation: finalizing the FTA could enhance its geopolitical clout and supply-chain resilience, but conceding too much too fast may constrain its domestic policy space. The EU, under pressure to diversify from China and respond to global fragmentation, sees India as a strategic partner, but also fears reputational risk if promises are not met. This dynamic produces a negotiation rhythm characterised by bursts of high-level political engagement followed by technical slowdowns, a pattern often covered in both Indian and European media (Times of India, 2025; Rome-based ISS, 2025).

In sum, the political-economic dynamics of the India–EU FTA underscore that this is not simply a commercial treaty but a complex bargain over regulatory sovereignty, trust, scale, and strategic direction. The persistent trust deficit, rooted in divergent ideologies, institutional fragmentation, and domestic political pressures remains one of the most formidable barriers to a conclusive, legally binding FTA. Unless both sides deepen not only their technical alignment but also their institutional trust, many of the outstanding chapters risk remaining unresolved.

UNRESOLVED ISSUES DETAILED ANALYSIS

1. Market access for automobiles and industrial tariffs (High sensitivity)

The EU seeks better access for cars and auto parts in India; India seeks lower tariffs on Indian industrial exports and protection for its nascent auto manufacturing segments. Tariff levels and phase-down schedules for sensitive products are central.

Positions & risk: India maintains higher tariffs and protective measures to nurture domestic manufacturing and employment; the EU seeks meaningful tariff cuts for automobiles, chemicals, and machinery. Automobiles remain highly sensitive because of jobs, local content rules, and tax regimes. Recent reporting cites automotives as a key sticky point.

Implications: If unresolved, tariffs on automobiles alone could block a comprehensive deal because the EU will demand credible market access while India will resist rapid tariff liberalisation for politically sensitive producer groups.

2. Agriculture, dairy, and SPS (High sensitivity)

EU exporters (cheese, dairy, certain crops) seek tariff cuts and quota access; the EU demands stringent SPS compliance and mutual recognition of standards. India seeks protection for smallholder agriculture and food security.

Positions & risk: India is cautious about lowering tariffs or opening markets that could expose domestic farmers; the EU insists on sanitary, phytosanitary, and food-safety alignment. Agriculture and dairy are repeatedly reported as unresolved issues.

Implications: Even limited agricultural concessions can be politically costly in India and across EU member states (where farmers have strong political clout), so finding calibrated tariff-quota solutions plus technical assistance is likely required.

3. Carbon Border Adjustment Mechanism (CBAM), climate provisions, and TSD (Trade & Sustainable Development) (High-medium)

The EU's CBAM (a carbon-based import adjustment) and related demands that trading partners uphold environmental standards (deforestation-free supply chains, emissions reporting) are points of contention. India has sought exemptions or alternative mechanisms.

Positions & risk: The EU expects alignment or compensatory measures (e.g., carbon pricing or reporting); India resists exemptions that could be economically burdensome or seen as extra-territorial regulation. Recent reporting indicates the EU is likely to reject blanket Indian requests for CBAM exemptions while expressing willingness to consider phased approaches tied to India's domestic carbon policies.

Implications: CBAM/green conditionalities can be negotiated with transition periods, technical cooperation, and financial assistance; however, failure to resolve could scuttle the deal, given the EU's political insistence that trade partners meet sustainability standards.

4. Investment protection and ISDS (Medium-high)

The EU wants a modern investment protection framework with an enforceable dispute settlement mechanism; India has revised its investment treaty approach and is cautious about ISDS arrangements that could limit policy space.

Positions & risk: The EU argues for investor protections and effective dispute resolution; India insists on preserving policy space and aligning with its revised investment treaty framework. The design of dispute settlement—whether state-to-state, multilateral, or reformed ISDS—remains a core technical and political point.

Implications: Investment protection affects investor confidence and services/FDI flows. A compromise might involve a reformed, limited dispute resolution route or safeguards preserving India's right to regulate.

5. Government procurement / public procurement (Medium)

The EU wants better access to Indian government procurement markets; India wants to preserve preferences for domestic suppliers (public procurement used for industrial policy).

Positions & risk: Full access would expose Indian firms to competition; limited access can be structured with thresholds, exceptions, and phased opening. Negotiations often stall here because public procurement is politically sensitive.

6. Intellectual property, pharmaceuticals, and generic medicines (Medium)

EU asks for higher IP protections (pharmaceuticals, data exclusivity); India is a major supplier of generics and resists measures that would raise drug prices or limit access to medicines.

Positions & risk: Stronger IP rules may protect EU innovators but raise public health and access concerns in India. Compromises typically involve TRIPS-plus elements avoided or phased with safeguards for public health.

7. Data flows, digital trade, and localization (Emerging)

Digital trade rules, cross-border data flows, and requirements on data localization are increasingly important. The EU has strict data protection (GDPR), and India has evolving data rules.

Positions & risk: The EU seeks predictable rules for digital services; India seeks regulatory autonomy (e.g., data-localization rules for security/public policy). Bridging these requires mutual adequacy or carve-outs.

8. Rules of origin, tariff schedules and phased liberalisation (Technical but decisive)

Complex rules of origin (RoO) determine whether goods qualify for preferential tariffs; tariff schedules and phase-out timelines matter economically and politically.

Positions & risk: Stricter RoO protect domestic producers of inputs; looser rules favour supply chain trade. Carefully negotiated RoO are essential to make tariff concessions acceptable to domestic constituencies.

COMPACT INFORMATION CHARTS

Table 1 — Top unresolved issues, short descriptions, and likely negotiability

Issue	Short description	Political sensitivity	Negotiability (near term)
Automobiles & industrial tariffs	Tariff levels and market access for cars/parts	Very high (jobs, taxes)	Medium–Low
Agriculture & dairy	Tariff/quota access + SPS standards	Very high (farmers)	Medium
CBAM & TSD clauses	Carbon border costs, sustainability commitments	High (regulatory sovereignty)	Medium (with transitions)
Investment protection/ISDS	Dispute settlement design	High (sovereignty vs investor certainty)	Medium
Public procurement	Access to government buying	High	Medium–Low
IP & pharma	TRIPS-plus issues, generics	High (public health vs IP)	Low–Medium
Digital/data flows	Cross-border data, localization	Medium	Medium
Rules of origin & tariff timing	Technical rules that enable preferences	Medium	High (technical fixes possible)

Chart 1 — Quick economic exposure snapshot (textual table)

Sector (India exports to the EU)	Exposure to tariffs/SPS	Political sensitivity
Textiles & apparel	Medium (tariff + standards)	Medium
Pharmaceuticals	Medium (IP, regulatory approvals)	High (public health)
Auto components	High (rules, tariffs)	High
Agricultural products (spices, rice)	High (SPS, tariffs)	High
Services (IT, engineering)	Medium (mode 4 mobility, recognition)	Medium

PROSPECTS FOR NEAR-TERM CONCLUSION (ANALYSIS & SCENARIOS)

Context & political timeframe: Both sides intensified negotiations after 2022; EU political pressure (green agenda, CBAM), US trade actions, and geopolitical supply-chain diversification have incentivised progress. Several think-tanks and official statements through 2025 indicate a willingness to aim for an agreement soon, but substantial gaps remain.

1. Conditional Concord

- **What happens:** Parties agree on a comprehensive framework with **phased** tariff liberalisation, a partnership on CBAM (transition arrangements, technical assistance), a reformed investment protection mechanism (limited ISDS or state-to-state route), and sectoral carve-outs (agriculture/automobiles) with quotas or safeguards.
- **Why likely:** Political momentum, mutual economic interests, and willingness to use transition arrangements. Evidence: EU offers to soften CBAM impacts if India adopts domestic carbon measures; negotiators intensifying rounds.

2. Limited Deal + Side Agreements

- **What happens:** The parties sign a narrower FTA covering goods (with non-sensitive lists), services liberalisation limited to less contentious sectors, and separate side deals on investment and GIs to be concluded later. Sensitive areas (automotive, dairy, IP) set aside for later rounds.
- **Why plausible:** History of FTAs shows phased & modular approaches are used when full convergence is absent. EU and India might prefer a “landing zone” to secure partial benefits fast.

3. Stalemate / Delay

- **What happens:** Continued impasse on CBAM, autos, and investment protection; domestic politics in India or key EU member states (farmers, auto unions) block ratification; the deal stalls into 2026.
- **Why possible:** High sensitivity issues with strong domestic constituencies, combined with upcoming political cycles in the EU or India, could raise the cost of concessions. Recent press indicates automotives and agriculture remain unresolved.

Key near-term drivers that will determine the outcome: political will (summit-level signals), technical compromises on CBAM (transition and technical assistance), design of investment protection (reform vs classical ISDS), and pragmatic tariff-quota compromises on agriculture and autos.

RECOMMENDATIONS TO NEGOTIATORS/RESEARCHERS (CONCISE)

1. **Sequence the deal:** Lock in non-controversial goods and services concessions first, defer highly sensitive items to side agreements with clear timelines.
2. **CBAM bridge:** Negotiate a CBAM transition package including capacity-building and a roadmap for India's domestic carbon pricing (reduces EU political resistance).
3. **Investment architecture:** Propose a reformed, limited dispute resolution mechanism with strong state-to-state and appellate features to protect India's regulatory autonomy.
4. **Targeted agricultural solutions:** Use tariff-rate quotas (TRQs), phased market access, and technical SPS support for compliance to reduce political pain.
5. **Transparency & stakeholder outreach:** Both sides should pre-clear domestic stakeholders (farmers, manufacturers, unions) with clear adjustment packages to ease ratification.

CONCLUSION

The negotiations surrounding the India–European Union Free Trade Agreement (FTA), formerly the Broad-Based Trade and Investment Agreement (BTIA), represent one of the most complex and strategically significant bilateral trade efforts in the 21st century. The findings of this research demonstrate that the negotiation process has evolved far beyond tariff reduction and market access, and is shaped instead by deeper questions of regulatory sovereignty, developmental asymmetry, geopolitical alignment, and the shifting architecture of global trade governance. While negotiations began in 2007 with strong political intent, the decade-long pause between 2013 and 2021 reflected entrenched structural divergences across critical areas such as tariffs, data protection, sustainability mechanisms, investment protection, intellectual property rights, and mobility of skilled professionals. The relaunch of negotiations in 2022 signals renewed political will and a recognition by both sides that the agreement now holds broader economic and strategic relevance against the backdrop of post-pandemic supply-chain restructuring, digitalisation, and climate governance.

The research highlights that the complexities of the agreement stem from asymmetrical priorities: the EU seeks regulatory alignment, strong sustainability chapters, deeper commitments on investment protection, and expanded market access for high-value exports, whereas India prioritises affordable compliance pathways, safeguards for sensitive domestic industries, and enhanced opportunities in services mobility, digital trade, and technology transfer. These divergent positions are not merely economic; they reflect differing stages of development, legal systems, policy philosophies, and domestic political pressures. Challenges such as the Carbon Border Adjustment Mechanism (CBAM), access to public procurement, and non-tariff measures continue to require negotiated pathways grounded in phased implementation, technical support, and mutual recognition frameworks.

Despite prolonged delays, the agreement's relevance has grown significantly. Emerging cooperation pillars, including semiconductor resilience, the India–Middle East–Europe Economic Corridor (IMEC), cybersecurity, green energy transition, quantum technology, and harmonisation of digital public infrastructure, demonstrate that the FTA is transitioning into a next-generation strategic economic partnership. The parallel negotiation tracks (FTA, Investment Protection Agreement, and Geographical Indications Agreement) further reflect a modular approach responding to evolving global realities. Meanwhile, the EU's position as

India's third-largest trading partner and the presence of over 6,000 European firms operating in India underscore the untapped economic potential that a completed FTA could unlock, especially for labour-intensive manufacturing, textiles, pharmaceuticals, and IT-enabled services.

Based on the analysis, it is evident that the successful conclusion of the India–EU FTA depends on calibrated compromise, institutional flexibility, and policy innovation rather than conventional tariff bargaining. Mechanisms such as safeguard clauses, capacity-building partnerships, hybrid dispute-settlement reforms, and sector-specific implementation timelines may serve as viable pathways to reconcile regulatory philosophies. With shared commitments to democratic values, rules-based trade, supply-chain diversification, and climate-aligned economic growth, the FTA holds the potential to reshape bilateral economic flows, strengthen technological cooperation, and contribute meaningfully to global trade stability.

In conclusion, the India–EU FTA remains unfinished but increasingly unavoidable. If successfully finalised, it could emerge as a landmark agreement that not only deepens bilateral economic integration but also sets a precedent for how developed and emerging economies negotiate trade frameworks in a multipolar, sustainability-driven global economy. The negotiations thus embody more than a bilateral commercial pursuit; they represent a blueprint for future global trade diplomacy, integrating development needs, strategic autonomy, technological sovereignty, and fair economic cooperation. The coming negotiation rounds will determine whether this agreement becomes a transformative instrument of economic partnership or continues as one of the most prolonged yet promising negotiations in contemporary trade history.

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